



AAA Texas
1225 Freeport Pkwy Coppell TX 75019-9180

Your homeowners renewal package



April 30, 2025



JOHN KANYHA
KENNA KANYHA
1210 ELM GROVE DR
SUGAR LAND TX 77479

Your policy information

You have a **NEW** policy number

Policy Number HTX001581744
Policy Term 07/13/2025 - 07/13/2026
Minimum Due \$3,650

It's time to renew your policy!

Thank you for your membership with AAA and for trusting us with your insurance needs. We greatly appreciate your business and look forward to continuing your homeowners policy for another year.

Your premium-saving discounts

- Multi-Policy
- Fire Prevention Points
- Burglar Alarm
- Claims-Free

Review your coverages and limits

Since it is important for you to continue to maintain adequate amounts of insurance for your homeowners policy, please make sure the coverages and limits shown on your enclosed declarations continue to meet your insurance needs.

Questions or changes?

- Access your policy online at AAA.com/myaccount
- Visit your local AAA branch – AAA.com/branches
- Call 800-924-6141
Weekdays 8 a.m. – 7 p.m.
Saturday 8 a.m. – 2 p.m.

Important Notice of Material Change enclosed

Please refer to the document titled, **“What You Need to Know About Your Renewal”** for information.



Auto Club Indemnity Company
1225 Freeport Pkwy Coppel TX 75019-9180

Your homeowners insurance bill



April 30, 2025

JOHN KANYHA
KENNA KANYHA
1210 ELM GROVE DR
SUGAR LAND TX 77479

It's time to renew your policy

New Term Premium	\$3,650.00
Total Amount Owed	\$3,650.00
Payment Due By	July 13, 2025

Dates and amounts are subject to change if you make changes to your policy.

Amount Due \$3,650.00

Your policy information

Policy Number	HTX001581744
Policy Term	07/13/2025 - 07/13/2026
Insured Location	1210 ELM GROVE DR SUGAR LAND TX 77479

Simplify your life



To receive bills via email, sign up on the **Auto Club App** or **AAA.com/paperless**



Manage Your Policy Online Anytime, Anywhere on the **Auto Club App** or **AAA.com/selfserve**

Your mortgagee

CITIZENS BANK, N.A ISAOA/ATIMA
PO BOX 202060
FLORENCE SC 29502

LOAN #: 8103890466

YOUR MORTGAGEE HAS BEEN BILLED.

17025120007 5392-40 HTX001581744

BILLING FEES PER INSURANCE BILL

Installment fee (not on Auto Pay)	\$7
Auto Pay checking account debit fee	\$2
Auto Pay credit/debit card fee	\$5
Late payment fee	\$10
Returned payment fee	\$25

The full balance or at least the Minimum Due is payable by the due date. You must pay the outstanding balance in full in order to avoid paying any additional fees. Payments received will be applied first to any fees due. The remainder of your payment will be applied to the premium due. Any scheduled bill not paid by the due date is subject to the applicable late fee noted in the table above, with the exception of the renewal bill. Each returned payment is subject to the applicable returned payment fee noted in the table above.



Auto Club Indemnity Company
1225 Freeport Pkwy Coppell TX 75019-9180

Your homeowners renewal declarations



Named Insured

JOHN KANYHA
KENNA KANYHA
1210 ELM GROVE DR
SUGAR LAND TX 77479

Your policy information

Policy Number HTX001581744
Policy Term **From** 07/13/2025 12:01 a.m.
To 07/13/2026 12:01 a.m.
(Standard Time at the location of the residence premises)
Insured Location 1210 ELM GROVE DR
SUGAR LAND TX 77479

Premium summary

Policy Coverages	\$5,529
Endorsements	\$301
Less Discounts	\$2,180
Total Premium	\$3,650

We are pleased to offer you a renewal for your Homeowners insurance policy. To renew your policy, send at least the minimum payment on or before the due date. This premium is based on information currently in our records. Other coverages, limits, and exclusions apply – please refer to your policy.

Coverages and limits of liability

Coverages are subject to all conditions of this policy.

Part I – Property Coverages		Limits
Coverage A	Dwelling	\$395,000
Coverage B	Other Structures	\$39,500
Coverage C	Unscheduled Personal Property	\$197,500
Other Coverages 1. (20% of the amount of Coverage A)	Loss of Use	\$79,000
Other Coverages 5. (5% of the amount of Coverage A)	Building Ordinance or Law	\$19,750
Part II – Liability Coverages		Limits
Coverage D	Personal Liability (Bodily Injury and Property Damage) – Each Occurrence (Personal Injury) in the Aggregate	\$500,000
Coverage E	Medical Payments to Others – Each Person	\$5,000
Part I – Deductible(s)		Deductible
All Other Perils (5% of Coverage A (\$395,000))		\$19,750
Windstorm, Hurricane, or Hail (3% of Coverage A (\$395,000))		\$11,850
Named Storm (3% of Coverage A (\$395,000) (See Named Storm Deductible Endorsement)		\$11,850

Property information

Year Built: 1991

Roof Type: Composition/Asphalt Shingle

Roof Year: 2010

Premium discounts applied to your policy

Multi-Policy

Fire Prevention Points

Burglar Alarm

Claims-Free



Auto Club Indemnity Company
1225 Freeport Pkwy Coppell TX 75019-9180

Policy Number HTX001581744

Endorsements in effect

Endorsement No.	Edition Date	Description	Limits	Deductible	Premium
#HO-290	4/24	Personal Property Replacement Cost – Texas			\$301
#HO-2557	4/24	Named Storm Deductible Endorsement			
#4010	1/24	Policy Number Change			

Any loss under Part I – Property Coverages – is payable as interest may appear to you and the following listed:

Mortgagee Loan No.: 8103890466

CITIZENS BANK, N.A ISAOA/ATIMA
PO BOX 202060
FLORENCE, SC 29502



Auto Club Indemnity Company
1225 Freeport Pkwy Coppell TX 75019-9180



Policy Number HTX001581744

Important notices

Insurance is in effect only for the property, coverages, and limits of liability shown on this declarations page and as set forth in the insurance policy and endorsements. These declarations, together with the contract and the endorsements in effect, complete your policy.

Your Property Coverage amounts for Part I may have been adjusted based on updated information for your individual property characteristics or general inflation factors.

Extended Replacement Cost Coverage is included in Coverage A.

Flood Insurance: You may also need to consider the purchase of flood insurance. Your insurance policy does not include coverage for damage resulting from a flood even if hurricane winds and rain caused the flood to occur. Without separate flood insurance coverage, you may have uncovered losses caused by a flood. Please discuss the need to purchase separate flood insurance coverage with your insurance agent or insurance company, or visit www.floodsmart.gov.

Access your policy online at AAA.com/myaccount

For questions or changes call 800-924-6141

To report a claim call 800-672-5246



Auto Club Indemnity Company



Important Notice

To obtain information or make a complaint:

You may call Auto Club Indemnity Company's toll-free telephone number for information or to make a complaint at:

800-924-6141

You may also write to Auto Club Indemnity Company at:

PO Box 25237
Santa Ana, CA 92799-5237

You may contact the Texas Department of Insurance to obtain information on companies, coverages, rights, or complaints at:

800-252-3439

You may write the Texas Department of Insurance:

Consumer Protection, MC: CO-CP
Texas Department of Insurance
PO Box 12030
Austin, TX 78711-2030
Fax: 512-490-1007
Web: www.tdi.texas.gov
E-mail: ConsumerProtection@tdi.texas.gov

Insurance website notice

To compare policies and prices:

Visit **HelpInsure.com** to compare prices and coverages on home and auto insurance policies. The website is a service of the Texas Department of Insurance and the Office of Public Insurance Counsel.

Premium or claim disputes

Should you have a dispute concerning your premium or about a claim you should contact the agent or the company first. If the dispute is not resolved, you may contact the Texas Department of Insurance.

Attach this notice to your policy

This notice is for information only and does not become a part or condition of the attached document.

Aviso Importante

Para obtener información o para presentar una queja:

Usted puede llamar al número de teléfono gratuito de Auto Club Indemnity Company's para obtener información o para presentar una queja al:

800-924-6141

Usted también puede escribir a Auto Club Indemnity Company:

PO Box 25237
Santa Ana, CA 92799-5237

Usted puede comunicarse con el Departamento de Seguros de Texas para obtener información sobre compañías, coberturas, derechos o quejas al:

800-252-3439

Usted puede escribir al Departamento de Seguros de Texas a:

Consumer Protection, MC: CO-CP
Texas Department of Insurance
PO Box 12030
Austin, TX 78711-2030
Fax: 512-490-1007
Sitio web: www.tdi.texas.gov
E-mail: ConsumerProtection@tdi.texas.gov

Aviso del sitio web de seguros

Para comparar pólizas y precios:

Visite **HelpInsure.com** para comparar precios y coberturas en pólizas de seguro para el hogar y automóvil. El sitio web es un servicio del Departamento de Seguros de Texas y de la Oficina del Asesor Público de Seguros (Office of Public Insurance Counsel, por su nombre en inglés).

Disputas por primas de seguros o reclamaciones

Si tiene una disputa relacionada con su prima de seguro o con una reclamación, usted debe comunicarse con el agente o la compañía primero. Si la disputa no es resuelta, usted puede comunicarse con el Departamento de Seguros de Texas.

Adjunte este aviso a su póliza

Este aviso es solamente para propósitos informativos y no se convierte en parte o en condición del documento adjunto.



Important Policyholder Disclosures

Pollutant Exclusion

Your policy contains ***pollutant*** exclusions under Part I and Part II of your policy.

Pollutant means any solid, liquid, vaporous, gaseous, or thermal irritant or contaminant. It includes, but is not limited to, asbestos; radon; carbon monoxide gas; fuel oil; gasoline; lead paint; PCB; and waste. Waste includes materials to be recycled, reconditioned, or reclaimed.

Pollutant does not include:

- a. Loss caused by ***pollutants*** that escape from heating and air conditioning systems and appliances (HVAC).
- b. Loss caused by common household chemicals used to maintain the ***residence premises***.
- c. Loss caused by ***pollutants*** released from a hostile fire. A hostile fire is a fire which becomes uncontrollable or breaks out from where it was intended to be.

Please refer to your policy and endorsements for details.

Special Time Limits on Filing Suits and Certain Claims Under Your Policy

Your policy includes the following important provisions:

- **Duties After Loss – Conditions – Part I**

Your policy provides that we must be notified of claims caused by the perils of:

- o windstorm, hurricane, or hail in the catastrophe area as defined under Texas law, no later than 365 days after the date of loss unless you show good cause as to why the claim was filed after the first anniversary of the date of loss;
- o ***wildfire smoke loss*** no later than 60 calendar days following the extinguishment of the ***wildfire***.

- **Suits Against Us – Conditions – Part I**

Any suit or action brought against us must be started within two years and one day after the cause of action first accrues;

However, with respect to a loss caused by windstorm, hurricane, or hail in the catastrophe area as defined under Texas law, suit or action brought against us must be started from the earlier of:

- o two years and one day from the date we accept or reject the claim; or
- o three years and one day from the date of the loss that is the subject of the claim.

This disclosure is provided for information purposes. This disclosure does not provide coverage, and it does not set forth all limitations on coverage or all time limitations on notice of claims. Your insurance policy form, together with any Amendatory Endorsements, other applicable endorsements, and declarations, complete your policy. In case of a difference between this disclosure and your policy, the policy language will prevail.



What you need to know about your policy renewal

New homeowners program

We have implemented a new homeowners program that includes a new insurance system, new policy forms and contracts, new and revised endorsements, changes to various coverages and limits and an overall rate revision. With this renewal, your policy has been converted from your current Texas Homeowners Premier Policy (Form B) or Texas Homeowners Deluxe Policy (Form D) to your new Texas Preferred Homeowners Policy – Form 3.

These changes were necessary to continue to provide our policyholders with preferred products at competitive prices. The following is an overview of these changes. Your renewal premium reflects our revised rates. As a result, you may experience a change in premium. Premium adjustments as a result of this rate revision will vary by policy depending on individual policy rating factors. Your premium may also be impacted by any changes that have been made to your policy since last year. Please refer to the enclosed declarations page to see how these changes affect your policy premium. For more information regarding the changes to your coverages and limits, please refer to the “New policy forms and contracts” section in this document. We also recommend you review your enclosed declarations page and all other enclosed important documents along with the following summary of changes in their entirety.

Your new policy number

You will notice that you have a new policy number. We have converted to a new insurance system which requires us to discontinue your old policy number and provide you with a new one. As a convenience, your old policy number will still be available for up to one year. The change in policy number has no impact on your policy provisions or coverages. All currently applicable endorsements issued under your old policy number will continue to apply if those endorsements are still available under our new homeowners program. All agreements (including any documents signed by you) issued under your old policy number will continue to apply to your policy and will not be reissued with your new policy number. If you signed the AAA Auto Pay Authorization Agreement, this authorization will also continue to apply to your policy.

The enclosed endorsement entitled, “Policy Number Change Endorsement” (Form 4010 1st Ed. 1/24) has been added to your policy to document this change to your policy number. This endorsement applies to any continuation, renewal, or reinstatement of your policy. Please keep this endorsement with your policy for future reference.

Discounts

The following discounts are available in our Homeowners Program:

- Bars Over Windows
- Burglar Alarm
- Claims-Free
- Fire Prevention Points
- Hail Resistive Roof
- Multi-Policy
- New Home
- Replumbing
- Rewiring

Deductibles changes – NOTICE OF MATERIAL CHANGE

All Other Perils Deductible

There are no changes to the deductibles available for All Other Perils. The amount shown for this deductible on your declarations page will be deducted from the combined amount of each loss under PART I, unless the loss results from a cause of loss to which the deductible for Windstorm, Hurricane, or Hail would apply. Other deductible amounts may be available if you would like to change your All Other Perils deductible.

Windstorm, Hurricane, or Hail Deductible

Based on our current information for your roof age and material, your Windstorm, Hurricane, or Hail deductible may have changed. As a roof ages it becomes more susceptible to losses caused by wind, hurricane, or hail. Because of this, the minimum deductible requirements have been revised:

- ☐ If your roofing material is metal, slate, or tile your Windstorm, Hurricane, or Hail deductible may have changed. We require a minimum deductible of either:
 - \$7,500 or 2% of Coverage A for metal, slate, or tile roofs ten years of age and newer; or
 - \$10,000 or 3% of Coverage A for metal, slate, or tile roofs 11 years of age and older.

- For roofs five years of age and newer there is a minimum deductible of either \$5,000 or 1% of Coverage A.
 - If you currently have a Windstorm, Hurricane, or Hail deductible in the amount of:
 - \$2,500, your deductible has increased to \$5,000 with this renewal
 This change does not apply to metal, slate, or tile roofs.
- For roofs six through ten years of age there is a minimum deductible of either \$7,500 or 2% of Coverage A.
 - If you currently have a Windstorm, Hurricane, or Hail deductible in the amount of:
 - \$2,500 or \$5,000, your deductible has increased to \$7,500 with this renewal
 - 1% of Coverage A, your deductible has increased to 2% of Coverage A with this renewal
 This change does not apply to metal, slate, or tile roofs.
- For roofs 11 years of age and older there is a minimum deductible of either \$10,000 or 3% of Coverage A.
 - If you currently have a Windstorm, Hurricane, or Hail deductible in the amount of:
 - \$2,500, \$5,000, or \$7,500, your deductible has increased to \$10,000 with this renewal
 - 1% or 2% of Coverage A, your deductible has increased to 3% of Coverage A with this renewal
 This change applies to all roof types, including metal, slate, or tile.

Windstorm, Hurricane, or Hail deductibles of 4% and 5% of Coverage A continue to be offered for roofs of any age or material.

Your renewal will reflect your current Windstorm, Hurricane, or Hail deductible. This may be considered a reduction in coverage.

Named Storm Deductible

Policyholders in designated areas are required to carry a separate Named Storm deductible. If the age of your roof is 11 years or older, your Named Storm deductible will be increased to 3% of Coverage A regardless of your location. Higher deductible options are also available. This may be considered a reduction in coverage.

New policy forms and contracts – NOTICE OF MATERIAL CHANGE

The **Texas Preferred Homeowners Policy – Form 3 (4015 1st Ed. 4/24)** will be used in the new program and replaces all prior editions of previously issued policy contracts and amendatory endorsements. Your copy of the policy contract is enclosed with this renewal. The following is an overview of the new policy contract and the coverages provided.

COVERAGE A – DWELLING

Coverage A (Dwelling and Other Structures) on your prior policy is now Coverage A – Dwelling and Coverage B – Other Structures on your new policy. The Homeowners policy covers loss to the Dwelling – Coverage A on the residence premises caused by perils that are not otherwise excluded. You can increase your policy's Coverage A limit if you think your renewal limit is too low.

EXTENDED REPLACEMENT COST FOR COVERAGE A – DWELLING

Extended Replacement Cost for Coverage A – Dwelling has been added to the base Homeowners policy for a maximum of 110% of the liability limit stated on the declarations page for Coverage A. If you currently have a Deluxe Homeowners Policy with the HO-281 Guaranteed Rebuilding Cost (Dwelling) Endorsement or a Premier Homeowners Policy, you will have additional coverage under the HO-401 Deluxe Homeowners Endorsement – Texas (Form 3). This endorsement changes the Extended Replacement Cost for Coverage A – Dwelling to a maximum of 130% of the liability limit stated on the declarations page for Coverage A. This may be a reduction in coverage.

The Extended Replacement Cost provision will apply if the dwelling is insured to 100% of its replacement cost, you have accepted all changes in the valuation of covered property we believed were needed, and you have notified us within 30 days before completion of any remodeling of or addition to the dwelling that will increase the cost to replace the dwelling by \$15,000 or more. The Extended Replacement Cost provision does not apply to land, a building under construction, or losses caused by earthquake.

COVERAGE B – OTHER STRUCTURES

Coverage A (Dwelling and Other Structures) on your prior policy is now Coverage A – Dwelling and Coverage B – Other Structures on your new policy. Coverage for Other Structures is automatically included with your Homeowners policy. Coverage B – Other Structures covers loss to other structures on the residence premises caused by perils that are not otherwise excluded.

COVERAGE C – PERSONAL PROPERTY

Coverage B (Personal Property) on your prior policy is now Coverage C – Personal Property on your new policy. Coverage is provided for loss to unscheduled personal property caused by specified perils. Your renewal reflects the limit for Coverage C – Personal Property at 50% of your Coverage A – Dwelling limit. This is a reduction in coverage. Your Coverage C may be changed to replacement cost with the HO-290 – Personal Property Replacement Cost Endorsement – Texas.



If you currently have a Deluxe Homeowners Policy with the HO-281 Guaranteed Rebuilding Cost (Dwelling) Endorsement or a Premier Homeowners Policy, your renewal reflects the limit for Coverage C – Personal Property at 60% of your Coverage A – Dwelling Limit with the HO-401 Deluxe Endorsement – Texas (Form 3) which also includes replacement cost for personal property. This may be a reduction in coverage.

COVERAGE D – PERSONAL LIABILITY

Coverage C (Personal Liability) on your prior policy is now Coverage D – Personal Liability on your new policy. This coverage protects you in the event a suit or claim by others is made for bodily injury or property damage covered by this policy. **Personal Liability now also includes personal injury.** Personal injury means injury arising out of false arrest, detention, imprisonment; malicious prosecution; libel, slander, or defamation of character; or invasion of privacy, wrongful eviction, or wrongful entry. The base Homeowners policy provides Coverage D at a minimum limit of \$100,000, and the HO-401 Deluxe Homeowners Endorsement – Texas (Form 3) provides Coverage D at a minimum limit of \$300,000. Your previous policy may have had a different limit. If your previous policy had a Coverage D limit that is no longer available, then your new policy renewal will reflect the next highest available Coverage D limit.

COVERAGE E – MEDICAL PAYMENTS TO OTHERS

Coverage D (Medical Payments to Others) on your prior policy is now Coverage E – Medical Payments to Others on your new policy. This coverage provides payment of reasonable expenses incurred within 3 years from the date of accident for covered expenses. The base Homeowners policy provides Coverage E at a minimum limit of \$1,000, and the HO-401 Deluxe Homeowners Endorsement – Texas (Form 3) provides Coverage E at a minimum limit of \$2,000. Your previous policy may have had a different limit. If your previous policy had a Coverage E limit that is no longer available, then your new policy renewal will reflect the next highest available Coverage E limit.

Provisions and exclusions included in the previous contract have been incorporated into the new contract, many without change. The most significant changes from the prior policy contract to the new policy contract are summarized below. A number of new provisions and exclusions have been added to the new contract and are also indicated below. Some changes were made to better clarify our intent on coverage while other changes result in a reduction, restriction, or broadening of coverage.

This summary is not intended to and does not substitute for or supersede the actual language of the policy contract. Please take a moment to review the enclosed policy contract in addition to this document and attach it to your policy for future reference. In case of a difference between this document and the contract, the contract will prevail.

DEFINITIONS:

- ☐ Existing definitions have been revised and reformatted for clarity.
- ☐ New definitions have been added to the policy including actual cash value, aggression, aircraft, bullying, cyberbullying, depreciation, drug, electronic data processing equipment, personal injury, pollutant, remediation, replacement cost, and theft. Please refer to your enclosed policy contract for the new definitions.

PART I – PROPERTY COVERAGES:

- ☐ Coverage A (Dwelling and Other Structures) has been revised to Coverage A – Dwelling and Coverage B – Other Structures, and Coverage B (Personal Property) has been revised to Coverage C – Personal Property.
- ☐ Additional language was added to clarify what property is not covered under Coverage A and Coverage B, including exceptions under Coverage B for other structures used in whole or in part in business.

What Property is Covered Subject to Individual Limits Of Liability – Coverage C – NOTICE OF MATERIAL CHANGE:

- ☐ Individual limits of liability have been increased for the following categories. This is a broadening of coverage.
 - ☐ Money, cryptocurrency, bank notes, bullion, gold, etc. increased from \$100 to \$200.
 - ☐ Securities, accounts, deeds, letters of credit, etc. increased from \$500 to \$1,500.
 - ☐ Jewelry, watches, and furs for loss by theft increased from \$500 to \$2,500.
 - ☐ Property used or intended for use in business while located away from the residence premises increased from \$0 to \$1,500.
 - ☐ Watercraft including their trailers, furniture, equipment, etc. increased from \$1,000 to \$1,500.
 - ☐ Trailers not used with watercraft increased from \$1,000 to \$1,500.
 - ☐ Firearms for loss by theft increased from \$2,000 to \$2,500.
 - ☐ Electronic data processing equipment while located away from the residence premises increased from \$1,000 to \$2,500.
 - ☐ Collectibles, including fine arts, increased from \$1,000 to \$2,500.
- ☐ New individual limits of liability have been added for the following categories. This may be considered a reduction in coverage.
 - ☐ \$1,000 on cannabis, cannabis plants, or any items or paraphernalia used to grow or cultivate cannabis or cannabis plants if deemed legal in your state or locality.

- ☐ \$2,000 on equipment, accessories, and parts designed for use with a motor vehicle, or other motorized land conveyance not attached to or located in or upon a motor vehicle or other motorized land conveyance.
- ☐ \$10,000 on motor vehicles or any other kind of land conveyance that is not subject to motor vehicle registration and used exclusively to service an insured's residence, not including vehicles designed to assist and be used by the physically disabled and electric bicycles.
- ☐ \$5,000 on any electric bicycle that is not subject to motor vehicle registration, that provides assistance when the rider is pedaling, and was not built or modified to exceed 28 miles per hour.

What Property is Not Covered – Coverage C – NOTICE OF MATERIAL CHANGE

- ☐ A new exception was added to this section to provide coverage for electronic bicycles that are not subject to motor vehicle registration, provide assistance when the rider is pedaling, and was not built or modified to exceed 28 miles per hour. This is a broadening of coverage.
- ☐ New exclusions were added for the following and are considered a reduction in coverage:
 - ☐ Any devices or other instruments which are used for the transmission, recording, reception, or reproduction of sound and/or pictures if it is permanently installed in a motor vehicle, other motorized land conveyance, trailer, or watercraft.
 - Business records or business data.
 - Computer software that, at the time of the loss, cannot be replaced on the retail market with other of like or reasonably similar kind and quality.
 - Credit cards or fund transfer cards except as provided under provision 10. Credit card, fund transfer card, forgery, and counterfeit money of Other Coverages – Part I.

Other Coverages – Part I – NOTICE OF MATERIAL CHANGE

- ☐ Removal of Debris – this provision has been revised to provide an additional 5% of the amount of the limit of liability if the expense exceeds the amount of the limit of liability for the damaged property. This is a broadening of coverage.
- ☐ Removal of Fallen Trees – this provision is limited to \$500 in the aggregate for any one loss. This is a broadening of coverage.
- ☐ Loss of Use – this provision has been revised to replace fair rental value with coverage for actual loss of rental income and for loss of use if a civil authority prohibits you from occupying the residence premises. This is a reduction in coverage.
- ☐ Trees, Shrubs, and Other Plants – the limit of liability for any one tree, shrub, or plant was increased from \$250 to \$500. This is a broadening of coverage.
- ☐ Fire Department Service Charge – this is new coverage that provides up to \$500 for liability assumed by contract or agreement for the fire department service charges actually incurred when the fire department is called to save or protect covered property from a covered loss. This is a broadening of coverage.
- ☐ Building Ordinance or Law – Coverage was revised from \$5,000 to 5% of Coverage A in additional insurance if a cause of loss covered under What losses are covered – Coverage A and Coverage B results in direct damage to the dwelling, and a building ordinance or law that was in effect at the time of the loss is enforced because of that loss. This may be considered a reduction in coverage.
- ☐ Credit Card, Fund Transfer Card, Forgery, and Counterfeit Money – this is new coverage that provides up to \$500 in additional insurance for the legal obligation of any insured to pay because of theft or unauthorized use of credit cards, loss resulting from the theft or unauthorized use of any fund transfer card used for deposit, withdrawal, or transfer of funds, loss caused by the forgery or alteration of checks or other negotiable instrument, and through acceptance in good faith of counterfeit USA or Canadian paper money. This is a broadening of coverage.
- ☐ Collapse of a Building or Any Part of a Building – this is a new limitation that covers Collapse (previously under Section 1 – Perils Insured Against) only for specified causes of loss. This may be considered a reduction in coverage.
- ☐ Mold, Fungus, Wet Rot, Dry Rot, or Bacteria (*applies to Homeowners policies converting from prior Premier Homeowners policies*) – this is a new provision that provides up to \$5,000 in the aggregate per policy period for the remediation of mold, fungus, wet rot, dry rot, or bacteria as required to repair or replace covered property, if caused by a loss covered under Part I, and the reasonable and necessary increase in living expenses actually incurred. This is a broadening of coverage.
- ☐ Loss Assessment – this is new coverage that provides up to \$2,000 in additional insurance for loss assessment that is charged against the insured as a member of an association, corporation, or community of property owners of the insured location. The assessment must be as a result of accidental direct physical loss to the property owned by all members collectively from a covered cause of loss, and the damaged property is the type of property insurable under an Auto Club Indemnity Company homeowners policy. This is a broadening of coverage.
- ☐ The provision for Consequential Loss has been removed. This is a reduction in coverage.
- ☐ The provision for Automatic Removal has been removed from this section. Coverage is now provided under What Property is Covered – Coverage C.

What Losses are Covered – Coverages A, B, and C (as indicated) – NOTICE OF MATERIAL CHANGE

- ☐ The current Texas Homeowners Deluxe Policy (Form D) has been converted to a Preferred Homeowners Policy (Form 3)



which changes coverage for Coverage A – Dwelling and Coverage B – Other Structures from named perils to open perils. This is considered a broadening of coverage.

- ☐ Under Coverage C – Personal Property, named perils includes the following new items specific to what is not covered under that peril and are considered a restriction of coverage.
 - Sudden and accidental damage from smoke – any loss caused by the manufacturing of any drug is not covered.
 - Windstorm, Hurricane, or Hail – any loss from windstorm, hurricane, or hail to watercraft and their trailers, furnishings, equipment, and outboard motors, while not inside a fully enclosed building is not covered.
 - Vandalism or malicious mischief – any acts committed by or at the direction of any roomer, boarder, tenant, renter, or resident of the residence premises or if the dwelling has been vacant for more than 60 days prior to the loss is not covered.
- ☐ Theft – we do not cover loss of theft:
 - committed by or at the direction of an insured, roomer, boarder, tenant, renter, or resident of the residence premises, except a residence employee.
 - in or to a dwelling under construction, or of materials and supplies for use in the building, until the dwelling is completed and occupied.
 - from that part of the residence premises rented or leased by any insured to any person other than an insured
 - occurring away from the residence premises
 - theft away from the residence premises:
 - of watercraft, including their trailers, furnishings and equipment, trailers including their furnishings, equipment, and outboard motors.
 - of trailers including their furnishings and equipment.
 - of camper bodies, slide-on campers, or camper shells not permanently attached to a motor vehicle, including their furnishings and equipment.
- ☐ The following new additional named perils have been added under Coverage C and are a broadening of coverage.
 - Weight of ice, snow, or sleet.
 - Sudden and accidental tearing apart, cracking, burning, or bulging of a steam or hot water heating system, an air conditioning system, an automatic fire protective sprinkler system or an appliance for heating water.
- ☐ Sudden and accidental damage from changes in the electric power supply to electrical appliances, devices, fixtures, and wiring.
- ☐ Fragments of broken glass or safety glazing material which is a part of a building, storm door, or storm window.
- ☐ Volcanic eruption.

What Losses are Not Covered – Part I – NOTICE OF MATERIAL CHANGE

- ☐ The following exclusions have been removed and are not in the new Homeowners policy contract. This may be considered a broadening of coverage in certain circumstances.
 - ☐ The exclusion to electrical devices or wiring caused by electricity other than lightning has been removed.
 - ☐ The exclusions (*in prior Premier Homeowners policies*) under windstorm or hail for cloth awnings, greenhouses and their contents, buildings or structures located wholly or partially over water and their contents, radio and television towers, outside satellite dishes, masts, and antennas, including lead in wiring, windchargers, and windmills have been removed.
 - ☐ The exclusion (*in prior Deluxe Homeowners policies*) for outdoor equipment, fences, driveways, walks, lawns trees, shrubs and plants or retaining walls and bulkheads not part of the building was removed. This exclusion applies to Windstorm, Hurricane, and Hail; Vehicles; Fall of trees or limbs; Objects falling; and Collapse.
 - ☐ The theft exclusion (*in prior Premier Homeowners policies*) under Coverage A and Coverage B for personal property while away from the residence premises at any other residence except while an insured is temporarily living there has been removed.
 - ☐ The exclusion for Governmental Action has been removed.
- ☐ The following exclusions have been added to the new Homeowners policy contract and are a reduction of coverage. These exclusions apply to Coverages A, B, and C:
 - ☐ Exclusions have been added for water damage including sewer or drain back up, overflow or discharge from a sump, sump pump or related equipment, water below the surface of the ground, and water released, overflows or escapes from a dam, levee, or other structure designed to contain surface water. There is an exception for direct physical loss by fire, explosion, or theft resulting from or occurring as a consequence of water damage.
 - ☐ An exclusion has been added for mold, fungus, wet rot, dry rot, or bacteria except as specially covered under Other Coverages, provision 12. Mold, Fungus, Wet Rot, Dry Rot, or Bacteria. There is an exception if the resulting loss is caused by fire or lightning.
 - ☐ An exclusion has been added for neglect of the insured to take all reasonable steps to save and preserve property at and after the time of a loss, or when the property is endangered by a cause of loss we cover or eliminate or reduce any conditions on the residence premises that contributed to loss or caused damage in the past, whether or not an insurance claim was made.
 - ☐ An exclusion for intentional loss has been added and applies to a loss arising out of any act or omission committed by or at the direction of any insured with the intent to cause loss or damage.

- ☐ An exclusion has been added for interruption of power or other utility service if the interruption takes place away from the residence premises.
 - ☐ An exclusion has been added for collapse, except as specifically covered under Other Coverages, provision 11. Collapse of a Building or any Part of a Building.
 - ☐ An exclusion for diminution in value has been added.
 - ☐ An exclusion for matching of undamaged property has been added.
 - ☐ An exclusion for illegal plants and materials has been added.
 - ☐ An exclusion for continuous or repeated discharge or spray of water from an irrigation system has been added.
 - ☐ The following exclusions have been added to the new Homeowners policy contract and are a reduction of coverage. These exclusions apply to Coverages A and B:
 - ☐ An exclusion has been added for freezing, thawing, pressure or weight of water or ice, whether driven by wind or not to a fence, driveway, walkway, patio, spa, swimming pool, pond, foundation, retaining wall, bulkhead, pier, wharf, or dock.
 - ☐ An exclusion has been added for theft in or to a dwelling under construction or of building materials whether on or off the residence premises.
 - ☐ An exclusion has been added for vandalism, malicious mischief, or breakage of glass committed by or at the direction of any roomer, boarder, tenant, renter, or resident of the residence premises or if the dwelling has been vacant for more than 60 days prior to the loss.
 - ☐ An exclusion has been added for continuous or repeated seepage or leakage of water or steam from within a plumbing, heating, air conditioning, or automatic fire protective sprinkler system, or from within a household appliance, or within or around any shower stall, shower bath, tub installation, sink, or other fixtures designed for use of water or steam.
 - ☐ An exclusion has been added for the presence, release, discharge, or dispersal of pollutants, and soil corrosives including, but not limited to chemicals, compounds, elements, suspensions, gels, or crystals forming in the soil.
 - ☐ An exclusion has been added for the expansion and/or contraction of concrete streets or other paved roadways, commonly referred to as street creep.
 - ☐ An exclusion has been added for nesting, infestation, or discharge or release of waste products or secretions by any animal.
 - ☐ An exclusion has been added for growth of, or pressure from the roots of trees, shrubs, or other plants.
 - ☐ The following exclusion has been added to the new Homeowners policy contract and is a restriction of coverage. This exclusion applies to Coverages A and B:
 - ☐ We do not cover any loss to property insured under Coverages A or B in which any of the events listed below cause or aggravate or contribute concurrently or in any sequence to a loss excluded under Part I:
 - Weather conditions
 - Acts or decisions, including the failure to act or decide whether intentional or unintentional, or whether negligent, wrongful, or without fault, of any person, group, organization, or governmental body, whether an insured or not. This does not apply to an insured's acts or decisions, including the failure to act or decide, excluded under provision 1., sections d. and h.
 - Faulty, defective, or inadequate:
 - planning, zoning, development, surveying, or siting;
 - establishment or enforcement of building codes or standards for construction or materials;
 - design, specifications, construction, renovation, remodeling, repair, grading, compaction, or workmanship;
 - materials, parts, or equipment used in construction, renovation, remodeling, repair, grading, or compaction;
 - maintenance;
- of part or all of any property whether on or off the residence premises.
This does not apply to the use of defective materials or methods for which coverage is afforded under section f. of provision 11. Collapse of a building or any part of a building of Other Coverages – Part I.

Conditions – Part I – NOTICE OF MATERIAL CHANGE

- ☐ The deductible provision for windstorm, hurricane, or hail and all other perils was moved to this section. A deductible will not apply to the following Other Coverages: Fire Department Service Charge, Removal of Property, Credit Card, Fund Transfer Card, Forgery and Counterfeit Money, and Loss Assessment.
- ☐ Under Duties After Loss, notification requirements were added for loss under the Credit Card or Fund Transfer Card coverage to notify the credit card or fund transfer card company, and for a wildfire smoke loss no later than 60 calendar days following the extinguishment of the wildfire. Notification requirements for windstorm, hurricane, or hail losses were clarified to apply to losses in the catastrophe area as defined under Texas law.
- ☐ Also, under Duties After Loss, sworn proof of loss, when requested by us, now includes providing us with:
 - ☐ changes in title, use, occupancy, location, possession of, or exposure to, the property during the term of the policy.
 - ☐ specifications and plans of any damaged or destroyed building or fixture, detailed estimates for repair of the damage, and the amount of any encumbrances.



- ☐ an inventory of damaged or destroyed personal property as described in provision c.
- ☐ receipts for additional living expenses incurred.
- ☐ evidence or sworn statements supporting a claim under the Credit Card, Fund Transfer Card, Forgery and Counterfeit Money coverage, stating the amount of the loss and the cause of the loss.
- ☐ Under Loss Settlement and Limit of Liability, the following changes have been made:
 - ☐ a new section has been added for certain items of personal property that will be settled for the lowest of the following at the time of the loss: the fair market value, the cost to repair the damaged property, the cost to replace with property of the same kind, of reasonably similar quality and usefulness, and in the same condition, or the limit of liability that applies.
 - ☐ losses for jewelry will be settled for replacement cost at the time of the loss.
 - ☐ losses to structures that are not buildings will be settled for the lower of the actual cash value, but not less than the fair market value at the time of the loss, or the limit of liability stated on the declarations page for Coverage B.
 - ☐ losses to buildings will be settled as follows:
 - ☐ If you elect not to repair or replace, we will settle for the lower of actual cash value, but not less than fair market value at the time of the loss, or the limit of liability for Coverage A for the dwelling or Coverage B for loss to other buildings.
 - ☐ If you elect to repair or replace, we will settle for the lower of actual cash value or the limit of liability stated on the declarations page until the repair or replacement has been completed as required. After repair or replacement is completed, we will settle on a replacement cost basis for any added cost you actually and necessarily incurred not to exceed the limit of liability.
 - ☐ If the amount of a covered loss does not exceed \$5,000, we may pay replacement cost of the damaged or destroyed part of the building before the repair or replacement is made.
 - ☐ Extended Replacement Cost for Coverage A has been added to the base Homeowners policy for an additional 10% of the Coverage A – Dwelling limit of liability if the dwelling is insured to 100% of its replacement cost, you have accepted all changes in the valuation of covered property we believed were needed, and you have notified us within 30 days before completion of any remodeling of or addition to the dwelling that will increase the cost to replace the dwelling by \$15,000 or more. This coverage does not apply to land, a building under construction, or losses caused by earthquake.
- ☐ Loss to a Pair or Set was revised to clarify that loss to a jewelry pair or set will be settled for the replacement cost at the time of the loss.
- ☐ A new provision has been added for Glass Replacement. We will replace glass that is damaged in a loss covered under Part I with safety glazing material when required by an ordinance or law.
- ☐ Under Loss Payment, additional language has been added to confirm that we will pay the insured unless another payee is named in the policy or is legally entitled to receive payment.
- ☐ Under Catastrophe Claims, the language referencing a declared disaster under the Texas Disaster Act of 1975 was removed as it is not part of TX §542.059(b).
- ☐ Under Suits Against Us, the language has been revised to more closely mirror the statutory language in §2301.010(b) for companies that have windstorm and hail insurance in the catastrophe area.
- ☐ A new provision for Our Option was added which states that at our option, we may take part or all of the covered damaged property at the agreed or appraised value, repair or rebuild or replace covered damaged or destroyed property with property of like or reasonably similar kind and quality. We will notify the insured of our intent in writing within 30 days after receipt of signed, sworn proof of loss.
- ☐ The provision for Vacancy that suspends coverage under Coverage A – Dwelling effective 60 days after the dwelling becomes vacant has been removed.
- ☐ A new provision was added regarding Recovered Property. If we or an insured recover any property for which we have made payment under this policy, we or the insured will notify the other of the recovery. At the insured's option, the property will be returned to or retained by the insured, or it will become our property. If the insured retains the recovered property, the loss payment will be adjusted based on the payment we made for the recovered property.
- ☐ A new provision was added regarding Your Duty to Select and Maintain Policy Limits. At each policy renewal the amount of the limit of liability for Coverage A may be adjusted by us for inflation, current building costs, changes in the cost of items of property, and other factors. The adjustments in the limits of liability are not guaranteed to accurately account for inflation or be adequate to repair or replace the damaged or destroyed property. It is the insured's responsibility to select and maintain adequate amounts of insurance.
- ☐ A new provision was added regarding Our Right to Inspect. We reserve the right to conduct inspections of your residence premises upon reasonable notice as often as we deem reasonably necessary. We may conduct inspections to determine insurability and the premiums to be charged. You must permit inspections and cooperate with us during the inspection process.
- ☐ A new provision was added regarding Your Duty to Notify Us of Increase in Value. The insured must notify us within 30 calendar days before completion of remodeling or addition to the dwelling covered under Coverage A or the construction of new buildings or remodeling or addition to existing buildings covered under Coverage B that will increase the cost to replace the building by \$15,000 or more.

PART II – LIABILITY COVERAGES

- In the new Homeowners policy contract, Coverage C (Personal Liability) has been revised to Coverage D – Personal Liability, and Coverage D (Medical Payments to Others) has been revised to Coverage E – Medical Payments to Others.
- Under Coverage D – Personal Liability, personal injury coverage has been added. A clarification has also been added which indicates that covered damages do not include criminal fines, penalties, or restitution orders.

What losses are not covered – Part II – NOTICE OF MATERIAL CHANGE

- Under Coverages D and E, the following revisions have been made to what we do not cover and are considered a reduction or restriction of coverage unless otherwise stated.
 - The current intentional acts exclusion has been expanded to include intentional acts or omissions committed by or at the direction of any insured in which the bodily injury or property damage is reasonably expected or intended by the insured, even if the resulting bodily injury or property damage is of a different kind, quality, or degree than initially expected or intended. This is considered a clarification of coverage.
 - A new exclusion has also been added for acts or omissions committed by or at the direction of any insured with the intent to produce bodily injury or property damage of any kind and in any degree.
 - A new exclusion has been added for criminal acts or omissions committed by or at the direction of any insured in which the bodily injury or property damage is caused by or resulting from the criminal act or omission and intended by the insured. This exclusion applies whether or not the insured is charged with or convicted of a crime.
 - A new exclusion has been added for acts or omissions committed by or at the direction of any insured as a result of the use, sale, manufacture, distribution, delivery, transfer, or possession by any insured, of any drug. There is an exception for acts or omissions committed while under the influence of any drug legally dispensed in the USA and taken under the order of and in compliance with the instructions of a doctor licensed in the USA.
 - An exclusion has been added for bodily injury or property damage arising out of or in connection with the operation of a family day care home.
 - A new exception has been added to the business of any insured exclusion for the renting, leasing, or holding for rental or lease of the residence premises in whole or in part not to exceed 21 days of occupancy during any one policy period and for use only as a residence.
 - A new exclusion has been added which excludes losses arising out of the growing, farming, manufacture, sale, delivery, or transfer, or any drug or ingredient used for the purpose of making a drug, by any insured.
 - The residence employee exception has been removed from the exclusion for bodily injury or property damage arising out of any premises other than an insured location owned by, rented to, or leased to any insured.
 - The following exceptions have been modified in the exclusion for bodily injury or property damage arising out of the ownership, maintenance, use, loading, or unloading of motor vehicles or any other motorized land conveyances, including trailers of any type:
 - The exception has been removed for vehicles designed and used for recreational purposes that are owned by an insured while on the residence premises.
 - An additional requirement has been added to the exception for motor vehicles that are designed to assist and are used by the physically disabled only if they are not designed, constructed, or altered for travel on public roads.
 - The exception has been removed for golf carts while on the residence premises or used for golfing purposes and has been replaced with an exception for motorized golf carts that are not required to be licensed for highway use.
 - A new exception has been added to the exclusion for electric bicycles that are not subject to vehicle registration, that provide assistance when the rider is pedaling, and are not built or modified to exceed 28 miles per hour. This is not considered a reduction or restriction of coverage.
 - The exception in the exclusion for residence employees arising out of and in the course of the residence employee's employment by an insured has been removed.
- The following revisions have been made to the exclusion for bodily injury or property damage arising out of the ownership, maintenance, use, loading, or unloading of watercraft:
 - Watercraft length has been changed from 26 feet or more to watercraft exceeding 26 feet 5 inches in total length.
 - A new exclusion was added for watercraft powered by an inboard, jet-drive, or inboard/outboard motor, and owned by or leased to any insured.
 - The exclusion for watercraft powered by one or more outboard motors with a total of 25 or more horsepower was revised to now include watercraft leased to any insured.
 - The exception to the exclusion for outboard motors of more than 25 total horsepower was removed.
 - The exception to the exclusion for residence employees arising out of and in the course of the residence employee's employment by an insured was removed.
 - The exception to the exclusion of watercraft while on the residence premises only has been broadened to also include watercraft while on an insured location or stored on land elsewhere. This is not a reduction in coverage.



- The residence employee exception was removed from the exclusion for bodily injury or property damage arising out of the ownership, maintenance, use, loading or unloading of aircraft.
- The exclusion for any insured's negligent supervision of any other person with regard to motor vehicles, watercraft, or aircraft has been revised to remove the word "negligent".
- Exclusions have been added for vicarious parental liability, whether or not imposed by statute for the actions of a child or supervision of any other person, in the operation, maintenance, loading, or unloading of motor vehicles or any other motorized land conveyances, including trailers of any type, any watercraft or aircraft for which liability is excluded under PART II. The exception to this exclusion has been removed for a residence employee arising out of and in the course of the residence employee's employment by an insured.
- A new exclusion has been added for bodily injury or property damage arising out of, in connection with, aggravated by, or consisting of pollutants.
- The exclusion for bodily injury arising out of the transmission by any insured of any disease or of any organisms or agents capable of causing such disease through sexual contact of any insured with any other person or the transmission of any insured's body fluids to any other person was revised changing "sexual contact" to "personal physical contact".
- A new exclusion has been added for bodily injury arising out of actual, alleged, or threatened sexual misconduct including but not limited to sexual harassment, sexual abuse, and sexual molestation; corporal punishment; or physical, emotional, or mental abuse. For purposes of this exclusion, abuse means an act which is committed with the intent to cause harm.
- The dog breed exclusion has been revised to include Alapaha Blue Blood Bulldog and American Akita as excluded breeds.
- A new exclusion has been added for bodily injury or property damage arising out of, in connection with, aggravated by, or consisting of mold, fungus, wet rot, dry rot, or bacteria.
- A new exclusion has been added for bodily injury or property damage arising out of failure to supervise or the negligent supervision of a person that results in one or more of the excluded events in exclusions e., l., and m.
- A new exclusion has been added for bodily injury or property damage arising out of the growing, harvesting, or processing of any cannabis plants, or extraction or processing of any cannabis derivatives even if legal in your state or locality.
- Under Coverage D, the following revisions have been made to what we do not cover and are considered a reduction or restriction in coverage unless otherwise stated.
 - A new exclusion has been added under Liability to exclude any loss assessment charged against the insured as a member of an association, corporation, or community of property owners unless specifically covered under provision 3. Loss Assessment of Additional Payments – Part II.
 - A new exclusion has been added for Liability arising out of the sale or transfer of real property including, but not limited to, the following: known or unknown property or structural defects, known or hidden defects in the plumbing, heating, and electrical systems, known or unknown soil conditions or drainage problems, or concealment or misrepresentation of any known defects.
 - The exclusion for property damage to property owned by any insured has been revised to include any other resident of your household.
 - The exclusion for property damage to property rented to, occupied or used by or in the care of the insured has been revised to include property rented or leased to an insured, or in the care, custody, or control of an insured.
 - The exclusion for bodily injury to you and the residents of your household has been revised to clarify that residents of your household includes a. your relatives by blood, marriage, or adoption, or b. any other person under the age of 21 who is in the care of you or any person included under a. above.
 - A new exclusion has been added for bodily injury to any person when the ultimate benefits of indemnification would accrue directly or indirectly to you or the residents of your household listed below:
 - (1) your relatives by blood, marriage, or adoption,
 - (2) any other person under the age of 21 who is in the care of you or any person included under (1) above.
 - The exclusion for bodily injury to any person eligible to receive any benefits voluntarily provided or required to be provided by an insured under any workers' compensation law or occupational disease law was revised to include any non-occupational disability law.
 - A new exclusion has been added for bodily injury that results from emotional distress arising out of economic loss including, but not limited to contractual or employment-related disputes.
 - A new exclusion has been added for bodily injury or property damage arising out of bullying, cyberbullying, or aggression.
 - New exclusions have been added for loss due to Personal Injury.
 - A new exclusion has been added to exclude liability for punitive or exemplary damages. However, if the underlying claim is covered under Coverage D, we will defend suit alleging such damages.
- Under Coverage E, the following revisions have been made to what we do not cover for bodily injury and are considered a reduction or restriction in coverage unless otherwise stated.
 - The exclusion for bodily injury to any person regularly residing on any part of the insured location has been revised and now applies to you, any roomer, boarder, tenant, renter, or resident of an insured location.

- The exclusion for any person who is eligible to receive benefits that are required to be provided or voluntarily provided under any workers' compensation law or occupational disease law has been revised to include any non-occupational disability law.
- A new exclusion has been added to exclude bodily injury from any nuclear reaction, nuclear radiation, or radioactive contamination, all whether controlled or uncontrolled or however caused, or from any consequence of any of these.

Additional Payments – Part II – NOTICE OF MATERIAL CHANGE

- ☐ Claim Expenses
 - Reasonable expenses for loss of earnings up to \$50 per day for assisting us in the investigation or defense of a claim or suit has been revised to \$200 per day for earnings an insured loses due to attendance at hearings or trials at our request. This may be considered a broadening of coverage.
 - We will not pay for the premium on an appeal bond for that portion of a judgement that is not covered under Coverage D. This is a clarification of coverage.
- ☐ The provision for Imperative Medical Expenses to Others has been removed. This is a reduction in coverage.
- ☐ The following revisions were made to Damage to Property of Others:
 - The coverage limit has been increased from \$500 to \$2,500.
 - A new exclusion has been added and we will not pay for property damage to the extent of any amount recoverable under Part I of this policy. This is a clarification of coverage.
 - The exclusion for property owned by or rented to a tenant of an insured or a resident in your household was revised to property owned by, rented to, or leased to any insured, roomer, boarder, resident of your household or to a tenant of any insured. This is a clarification of coverage.
 - A new exclusion has been added to exclude property damage arising out of any insured's entrustment to any other person; or vicarious parental liability, whether or not imposed by statute, for the actions of a child or minor relating to the maintenance, use, loading, or unloading; or supervision of any person in the maintenance, use, loading, or unloading of any vehicle. This includes motorized land conveyances; trailers; watercraft; or aircraft of any type. This is a reduction in coverage.
 - The dog exclusion has been revised to include Alapaha Blue Blood Bulldog and American Akita as excluded breeds. This is a restriction of coverage.
 - A new exclusion has been added to this provision to state we have no duty to defend any insured for loss arising out of property damage to property of others. This is a clarification of coverage.
- ☐ New coverage for Loss Assessment has been added to cover loss assessment that is charged, during the policy period, against you as a member of the association, corporation, or community of property owners of the insured location for bodily injury or property damage caused by an occurrence covered under Part II – Liability Coverages. The base policy pays up to \$2,000 for a loss covered under this provision. This limit may be increased by endorsement for an additional premium. This is a broadening of coverage.

Conditions – Part II

- ☐ Limit of Liability
 - ☐ Language has been added to include personal injury since it is now part of the base policy.
 - ☐ The limitation of \$25,000 for all expenses payable to two or more persons injured in one accident under Medical Payments to Others has been removed. This is a broadening of coverage.
- ☐ The provision for Severability of Insurance has been removed. This could be considered a reduction in coverage.
- ☐ Duties After Loss
 - ☐ New provisions have been added that require the insured's cooperation while we investigate claims. Also, at our request the insured must 1. submit to recorded statements and examinations under oath (a parent or guardian may be present during any examination of a minor), and 2. authorize us to obtain any records we reasonably require to investigate any claim.
 - ☐ A new provision has been added concerning provision 2. Damage to Property of Others of Additional Payments – Part II which states that an insured shall within 91 days after the loss give us a sworn statement of loss, and make the damaged property available for our inspection, if the property is within the insured's control.
- ☐ Suits Against Us
 - ☐ The 30-day time limit to bring action under Medical Payments to Others has been removed.
 - ☐ A statement has been added that no one has the right to bring us into a suit to determine the liability of any insured.
- ☐ Other Insurance
 - ☐ The provision has been revised from pro-rata to excess over any other valid and collectible insurance. This provision does not apply to other insurance written as excess over the limits of liability of this policy.

GENERAL PROVISIONS – PART III – NOTICE OF MATERIAL CHANGE

- ☐ Policy Period – Language has been updated to include personal injury under Part II.



- ❑ Concealment or Fraud – New language has been added to this provision stating that to the extent permitted by Texas Insurance Code sections 705.003 and 705.004, coverage under this policy shall be void if, either before or after a loss, the insured has willfully concealed or misrepresented any material fact or circumstance; intentionally made false statements; or engaged in fraudulent conduct.
- ❑ Changes and Liberalization – Language has been removed from this provision regarding the waiver of policy provisions. These changes simplify the language by making it clear the policy may not be changed unless we authorize and agree upon the change.
- ❑ A new provision regarding Joint Obligations of Insureds has been added. The terms of this policy impose joint obligations on all persons defined as a person insured. This means that the responsibilities, acts, and failures to act of any person defined as an insured will be binding upon any other person defined as an insured. This may be considered a reduction in coverage.
- ❑ A new provision regarding Statements in the Application for Insurance has been added that states, by accepting the policy, the insured agrees:
 - ❑ The facts stated in the application for insurance and shown on the declarations page are correct and accurate. Any misrepresentations, omissions, concealment of facts, and incorrect states in your application may prevent recovery under the policy if they are made with actual intent to deceive; or materially affected either the acceptance of the risk or the hazard assumed by the insurer.
 - ❑ This policy contains all of the agreements between you and us.
 - ❑ Except as specifically provided in provision 4, you or someone on your behalf, will notify us promptly of any change to the facts affecting this insurance including, but not limited to, any change of the location of, the title to, the use of, or the exposure to the residence premises.
 - ❑ You must notify us within 30 calendar days before completion of the remodeling of or any addition to the dwelling covered under Coverage A; or the construction of new buildings or remodeling of or addition to existing buildings covered under Coverage B; that will increase the cost to replace the buildings covered under Coverage A and Coverage B by \$15,000 or more.
- ❑ Transfer or Assignment – New language has been added to clarify that in the event of the insured's death, coverage under this provision will only be provided until the end of the policy period during which the death occurred. However, if the death occurred after we offer to renew this policy, we will continue coverage until the end of the policy period for which we offered renewal, contingent upon payment of the premium.
- ❑ Subrogation – This provision has been revised to state that when we have paid, any rights of recovery from someone else become ours up to the amount we have paid. Any insured must protect these rights; help us enforce them; and execute all required papers. If we recover damages through subrogation, we will pay you the amount recovered not to exceed the applicable deductible.
- ❑ Termination – Language has been revised to remove short rate provision.

Policy endorsements

The endorsement names and form numbers for most endorsements attached to your policy have changed. There have also been major changes and minor editorial revisions to some endorsements. Some revisions were made to be consistent with the language in the new policy contract. Only the major changes of the endorsements are mentioned below. Only endorsements selected on your previous policy have been moved to your new policy. If you currently have one or more of these endorsements on your policy, your copy of the revised endorsement(s) is included in this package. Please keep the endorsement(s) with your other important insurance documents. If the endorsement was not revised, it will appear on your Renewal Declarations, but a copy of the endorsement will not be included in this package. **If the endorsement(s) is no longer available, it will not be listed on your Renewal Declarations. If the endorsement(s) is not listed on your Renewal Declarations, you do not have that endorsement and will no longer have the coverage that endorsement provided.** Please read your endorsement(s) in its entirety to understand the coverage provided.

The following endorsements were revised:

SCHEDULED PERSONAL PROPERTY ENDORSEMENT – TEXAS – HO-61

Revisions were made to this endorsement to be consistent with the policy loss settlement language. Minor editorial revisions have also been made. The minimum amount for each scheduled item will be \$100. If your previous policy included a scheduled item valued at less than \$100, that scheduled item on your new policy has been increased to \$100.

WINDSTORM, HURRICANE, AND HAIL EXCLUSION AGREEMENT – HO-2559

Minor editorial revisions have been made to this endorsement. The previous endorsement number HO-140 has changed to HO-2559.

EXCLUSION OF COSMETIC DAMAGE TO ROOF COVERINGS CAUSED BY HAIL ENDORSEMENT – HO-2752

Revisions made to this endorsement to be consistent with language in the Homeowners Policy. The previous endorsement number HO-145 has changed to HO-2752.

EXCLUSION OF DESIGNATED DOG ENDORSEMENT – TEXAS – HO-2353

Minor editorial revisions have been made to this endorsement.

NAMED STORM DEDUCTIBLE ENDORSEMENT – HO-2557

Revisions were made to this endorsement to be consistent with language in the Homeowners Policy. This deductible may be new for you or higher than on your previous policy as shown on your Renewal Declarations. This may be a reduction in coverage.

The following endorsements are new:

FUNCTIONAL REPLACEMENT COST LOSS SETTLEMENT ENDORSEMENT – TEXAS – HO-30

This optional endorsement modifies the loss settlement provisions of the Homeowners policy for buildings from replacement cost to functional replacement cost.

INCREASED LIMIT ON LOSS ASSESSMENT COVERAGE ENDORSEMENT – HO-36

Up to \$2,000 for loss assessment coverage is included in the policy under Part I – Property Coverages and Part II – Liability Coverages. This optional endorsement allows eligible policyholders to purchase an increased limit for this coverage. The limits available for this endorsement will be \$5,000, \$10,000, \$25,000, and \$50,000. This may be a reduction in coverage. Please review the new limit on your Renewal Declarations. This endorsement replaces the HO-310 Townhouse Loss Assessment Coverage Endorsement and the HO-315 Neighborhood Homeowners Loss Assessment Coverage Endorsement.

STRUCTURES RENTED TO OTHERS ENDORSEMENT (RESIDENCE PREMISES) – HO-40

This optional endorsement provides property and liability coverage for other structures on the residence premises when these structures are rented or leased or held for rental or lease to others.

ADDITIONAL INSURED ENDORSEMENT – TEXAS – HO-41

This optional endorsement provides coverage under Coverages A, B, D, and E to a person or organization, other than the named insured, that has an ownership interest in the dwelling insured under the policy. This endorsement replaces the HO-301 Additional Insured Endorsement.

OFFICE, PROFESSIONAL, PRIVATE SCHOOL OR STUDIO USE ENDORSEMENT (RESIDENCE PREMISES) – HO-42

This optional endorsement, which replaces the HO-205 Office, Private School or Studio Section II Liability, deletes some of the business exclusions with regard to certain described businesses conducted on the residence premises. The endorsement also deletes the exclusion under Coverage B of the Homeowners policy for Other Structures used for business purposes with regard to the structure in which the described business is conducted. The limit for this coverage is the same as your Coverage D – Personal Liability limit.

The endorsement provides:

- ☐ personal property coverage for furnishings, supplies and equipment used in the described business, and
- ☐ bodily injury, property damage and medical payments to others coverage for loss arising out of the described business pursuits.

SEPARATE STRUCTURE EXCLUSION ENDORSEMENT – HO-47

This optional endorsement excludes property and liability coverage for a separate structure specifically identified on the endorsement. The endorsement is used to exclude structures that would normally disqualify a premises from acceptability.

ADDITIONAL LIMIT ON OTHER STRUCTURES ENDORSEMENT – HO-48

This optional endorsement provides an additional limit of coverage on individual described structures without changing the limit provided under Coverage B.

ADDITIONAL LIMIT ON PERSONAL PROPERTY AT OTHER LOCATIONS ENDORSEMENT – HO-50

This optional endorsement increases the limit for personal property usually kept at a location other than the residence premises.

ADDITIONAL LIMIT ON CREDIT CARD, FUND TRANSFER CARD, FORGERY, AND COUNTERFEIT MONEY COVERAGE ENDORSEMENT – HO-53

This optional endorsement allows policyholders to increase their limit of liability for this Other Coverage.

ADDITIONAL LIMITS ON CERTAIN CATEGORIES OF PERSONAL PROPERTY ENDORSEMENT (THEFT) – TEXAS – HO-65

This optional endorsement replaces the HO-110 Increased Limit on Jewelry, Watches and Furs Endorsement and provides broader coverage for additional theft of specific categories of personal property:

- ☐ Firearms additional theft limit \$3,000
- ☐ Jewelry and Furs additional theft limit \$1,500 or \$4,000
- ☐ Silverware/Goldware additional theft limit \$2,500 or \$5,000

There are changes to the additional limits allowed with this endorsement. You will see your new limit on your Renewal Declarations. This may be a reduction in coverage.

SCHEDULED PERSONAL PROPERTY ENDORSEMENT (NAMED PERILS) – HO-66

This optional endorsement for collectibles provides higher amounts of coverage by insuring specific items for specified amounts with named peril protection.

ADDITIONAL RESIDENCE RENTED TO OTHERS ENDORSEMENT – HO-70

The policy does not cover liability arising out of any premises other than the insured location. This optional endorsement covers the insured's personal liability for bodily injury and property damage arising out of the premises specified on the endorsement.



BUSINESS PURSUITS ENDORSEMENT – HO-71

This optional endorsement provides bodily injury, property damage, and medical payments to others coverage for loss arising out of or in connection with a designated business. This endorsement replaces the HO-220 Business Pursuits Liability Coverage. If your previous policy had this endorsement with Business Type “Collector”, this is no longer a valid business type and not eligible for this endorsement. In this case, the endorsement will not be listed on the Renewal Declarations for your new policy. This may be a reduction in coverage.

RESIDENCE RENTAL THEFT ENDORSEMENT – TEXAS – HO-80

This optional endorsement provides theft coverage while the residence premises is rented:

- ☐ to others in whole or in part
 - not to exceed 21 days of occupancy during any one policy period; and
 - for use only as a residence
- ☐ in part to roomer(s) or boarder(s) who are regular residents.

DWELLING UNDER CONSTRUCTION ENDORSEMENT SPECIAL COVERAGE – HO-87

This optional endorsement increases the limit for personal property located away from the residence premises up to the Personal Property Coverage C limit. It provides coverage for loss caused by theft of building materials and supplies from the residence premises used in the construction of the dwelling and extends Liability Coverage to the residence location that the insured is temporarily residing in while their home is being rebuilt. Losses to the dwelling and other structures will be settled for actual cash value.

ADDITIONAL RESIDENCE ENDORSEMENT – HO-91

This optional endorsement covers personal liability arising out of the ownership of secondary/seasonal residences not rented to others. This endorsement replaces the HO-225 Additional Premises Liability Coverage.

SEWERS OR DRAINS BACKUP AND SUMP OVERFLOW OR DISCHARGE ENDORSEMENT – HO-208

The Homeowners policy excludes loss from water or other substances that enter the residence premises through the sewers or drains. This optional endorsement provides coverage for loss caused by water or sewage which backs up through sewers or drains, or which overflows or is discharged from a sump, sump pump, or related equipment.

ADDITIONAL LIMIT ON BUILDING ORDINANCE OR LAW COVERAGE ENDORSEMENT – HO-257

This optional endorsement provides additional coverage for increased costs resulting from ordinance or laws that regulate construction, repair, or demolition of property.

PERSONAL PROPERTY REPLACEMENT COST ENDORSEMENT – TEXAS – HO-290

This optional endorsement replaces the HO-101 Replacement of Personal Property Endorsement. It changes the loss settlement provision for Personal Property from actual cash value to replacement cost and is included on the HO-401 Deluxe Homeowners Endorsement – Texas (Form 3).

DELUXE HOMEOWNERS ENDORSEMENT – TEXAS (FORM 3) – HO-401

This endorsement replaces the HO-281 Guaranteed Rebuilding Cost Endorsement and may be a reduction in coverage. Among the features of this endorsement are:

- ☐ Increased sublimits for certain categories of personal property
- ☐ An increased limit of liability for personal property (Coverage C)
- ☐ Extended replacement cost coverage up to an additional 30% of the Coverage A limit of liability
- ☐ Personal property replacement cost coverage
- ☐ Increased limit of liability for personal liability coverage and medical payments to others
- ☐ Increased limit of liability for personal property away from the residence premises to 20% of Coverage C
- ☐ Claims deductible waiver coverage up to \$500
- ☐ Green coverage up to \$25,000
- ☐ Identity fraud expense coverage up to \$25,000
- ☐ Lost pet coverage up to \$100
- ☐ Refrigerated food spoilage coverage up to \$500

POLICY NUMBER CHANGE ENDORSEMENT 4010

This endorsement notifies the insured that their old policy number has been changed to a new policy number. All applicable endorsements, agreements, and any other documents in effect under their old policy number and offered with this renewal will apply to their policy. This endorsement applies to any continuation, renewal, or reinstatement of their policy.

LENDER’S LOSS PAYABLE ENDORSEMENT 438BFU

This endorsement explains the protections between the lender and the insurance company.

The following endorsements have been eliminated:

- ☐ TEXAS HOMEOWNERS (FORM B) AMENDATORY ENDORSEMENT – TEXAS
- ☐ TEXAS HOMEOWNERS (FORM D) AMENDATORY ENDORSEMENT – TEXAS
- ☐ HO-101 REPLACEMENT OF PERSONAL PROPERTY
- ☐ HO-110 INCREASED LIMIT ON JEWELRY, WATCHES AND FURS
- ☐ HO-111 INCREASED LIMIT ON BUSINESS PERSONAL PROPERTY
- ☐ HO-126 PERSONAL COMPUTER COVERAGE
- ☐ HO-162 MOLD, FUNGI OR OTHER MICROBES COVERAGE (FORM B)
- ☐ HO-201 PERSONAL INJURY COVERAGE
- ☐ HO-205 OFFICE, PRIVATE SCHOOL OR STUDIO SECTION II LIABILITY
- ☐ HO-220 BUSINESS PURSUITS LIABILITY COVERAGE
- ☐ HO-225 ADDITIONAL PREMISES LIABILITY COVERAGE
- ☐ HO-281 GUARANTEED REBUILDING COST ENDORSEMENT (DWELLING)
- ☐ HO-301 ADDITIONAL INSURED
- ☐ HO-310 TOWNHOUSE LOSS ASSESSMENT COVERAGE
- ☐ HO-315 NEIGHBORHOOD HOMEOWNERS LOSS ASSESSMENT COVERAGE
- ☐ HO-320 GENERAL CHANGE ENDORSEMENT

Premium payment options and fees

Insureds may pay the annual premium in full or in installments. Each installment billed (with the exception of the initial renewal installment) is subject to a \$7 fee. The installment fee for policies set up on our automatic payment plan (AAA Auto Pay) is \$2 if payments are debited from a checking account or \$5 if payments are debited to a credit or debit card. You must pay the outstanding balance in full in order to avoid paying any additional installment fees. Each late payment is subject to a \$10 fee and each returned payment is subject to a \$25 fee. Installment payment plans and all fees are subject to change without notice. An adverse payment record (such as a late payment, a returned payment or a nonpayment) may reduce the number of remaining installments and increase the minimum due, or result in a request to pay the entire balance of the policy bill in full.



Privacy Notice

This Privacy Notice describes how we handle your personal information as an insurance carrier and agent and the steps taken to protect your privacy. A separate privacy notice would apply to information collected through other means including from the use of our website, AAA mobile applications, AAA membership, AAA OnBoard telematic services, and affiliate partner products and services. You should consult those notices if necessary.

Information We Collect. We collect, from you and from other sources, personal information (hereinafter “your information” or “your personal information”) about you such as your name, home and email address, driver’s license number and telephone number. Personal information does not include (i) privileged information, or (ii) any information that is publicly available. We also collect information about your transactions with us, our affiliates and others, such as insurance policy information, premiums and payment history. We may also collect information such as your driving record, claims history, medical information and credit information. As allowed by law, we may ask for consumer reports concerning your application or any renewal of your insurance. Information given to us by an insurance support organization, including consumer reporting agency, may be retained by them and disclosed to other persons.

Information We Share. We may share your personal information with our affiliates and non-affiliates. We do not disclose your personal information unless allowed by law. We may share the following categories of your personal information without your authorization:

1. To a person other than an insurance institution (insurer), agent or insurance support group (ISG) if needed to:
 - a. Perform a business, professional or insurance function;
 - b. Determine your eligibility for an insurance benefit or payment;
 - c. Detect or prevent crime, fraud, material misrepresentation or material nondisclosure with an insurance transaction.
2. To an insurer, agent or ISG or self-insurer to:
 - a. Detect or prevent crime, fraud, material misrepresentation or material nondisclosure in connection with an insurance transaction;
 - b. Perform an insurance transaction involving you.
3. To any medical care institution or medical professional to:
 - a. Verify insurance coverage or benefits;
 - b. Inform you of a medical problem you may not be aware of;
 - c. Conduct an operations or services audit.
4. To an insurance regulatory authority.
5. To law enforcement or other governmental authority.
6. In response to a facially valid administrative or judicial order, including a search warrant or subpoena.
7. For actuarial or research studies if:
 - a. Your identity is not given in any reports that may be produced;
 - b. Materials that can identify you are returned or destroyed when no longer needed;
 - c. The group conducting the study agrees not to disclose it further unless permitted by law.
8. To a non-affiliated third party whose only use of it is in regard to the marketing of a product or service. We will not disclose:
 - a. Medical record information;
 - b. Privileged information;
 - c. Personal information relating to your character, personal habits, mode of living, general reputation, or any classification derived from such information.
9. To a group policyholder to report claims experience or to conduct an audit of our operations.
10. To an affiliate provided no medical record information or privileged information is disclosed without your written consent unless permitted by law. The affiliate does not disclose it further except as permitted by law.

Information Protection. We maintain physical, electronic, and procedural safeguards to protect your personal information. We require employees and vendors to keep your personal information confidential. Access to such information is provided to those who need it for their duties. We review the information security practices of vendors with whom we share personal information.

We send a privacy notice annually, as required by law. We reserve the right to modify this Notice at any time.

This notice is provided on behalf of: AAA Texas LLC, Auto Club County Mutual Insurance Company, ACSC Management Services Inc., Auto Club Indemnity Company, and Interinsurance Exchange of the Automobile Club.



Auto Club Indemnity Company



POLICY NUMBER CHANGE ENDORSEMENT

Effective 07/13/2025 12:01 a.m. Standard Time

Forming a part of Policy No. HTX001581744 issued by the Auto Club Indemnity Company.

Your old policy number, THO209424252 has been changed to a new policy number, HTX001581744.

All applicable endorsements, agreements, and any other documents in effect under your old policy number and offered with this renewal will apply to your policy.

This endorsement will be in force as long as your policy remains in force. This endorsement shall apply to any continuation, renewal or reinstatement of your policy.

All of the provisions of your policy that are not affected by this endorsement remain unchanged.

17025120007 539 15-40 HTX001581744



Auto Club Indemnity Company



HO-290

PERSONAL PROPERTY REPLACEMENT COST ENDORSEMENT – TEXAS

Effective 07/13/2025 12:01 a.m. Standard Time

Forming a part of Policy No. HTX001581744 issued by the Auto Club Indemnity Company.

PART I – PROPERTY COVERAGES

For an added premium, covered losses to the following property will be settled at the **replacement cost** at the time of loss:

1. Personal property described under CONDITIONS – PART I, provision 4., section b.
2. Awnings; carpeting; household appliances; outdoor antennas; and outdoor equipment.
3. The following articles or classes of property specifically insured and separately described in the policy:
 - a. camera equipment;
 - b. silverware, silver-plated ware, goldware, gold-plated ware, and pewterware, but excluding pens, pencils, flasks, smoking implements, or jewelry;
 - c. furs, garments trimmed with fur, and items that derive their principal value from fur;
 - d. firearms, cases, holsters, and similar articles of equipment;
 - e. musical instruments and related articles of equipment;
 - f. golf equipment, meaning golf clubs, golf shoes, and other golf equipment not including wearing apparel and golf balls.

Under 2. and 3. above, **replacement cost** coverage does not apply to articles that are not maintained in good or workable condition or that are outdated or obsolete.

This endorsement is subject to the following special provisions:

A. **Replacement cost**

In case of covered loss, we will pay the lowest of the following:

1. the **replacement cost**;
2. the full cost of repair at the time of the loss;
3. the amount of the limit of liability stated on the declarations page, as applicable to the property;
4. the amount of any special limit of liability stated in the policy; or
5. for any article specifically insured and separately described in the policy, the amount of limit of liability stated in the policy for that item.

B. Payment of **replacement cost** is subject to the following provisions:

1. If the amount of a loss covered under this endorsement does not exceed \$1,000, we may, at our option, pay the **replacement cost** of lost or damaged property before repair or replacement is made.
2. If the loss is not subject to 1. above, we will pay no more than the **actual cash value** of the lost or damaged property:
 - a. unless actual repair or replacement is completed within the 24 months following the date of initial settlement under this provision; and

PERSONAL PROPERTY REPLACEMENT COST ENDORSEMENT – TEXAS
(CONTINUED)

- b. until actual repair or replacement has been completed.
- 3. Settlement of any loss not eligible for **replacement cost** because a. above was not complied with will be concluded for **actual cash value**, but not less than the fair market value at the time of the loss.
- C. This endorsement does not increase the amount of any limit of liability stated in the policy, including on the declarations page and any applicable endorsements, for property covered under this endorsement.

All of the provisions of your policy that are not affected by this endorsement remain unchanged.



Auto Club Indemnity Company



HO-2557

NAMED STORM DEDUCTIBLE ENDORSEMENT

Effective 07/13/2025 12:01 a.m. Standard Time

Forming a part of Policy No. HTX001581744 issued by the Auto Club Indemnity Company.

It is agreed that the following changes apply to your policy:

Under DEFINITIONS, the following definitions are added:

1. **Named storm** – means a storm system that has been declared to be a tropical storm or a hurricane by the National Hurricane Center of the National Weather Service or any successor agency. The duration of the tropical storm or hurricane includes the time period, in Texas:
 - a. beginning at the time a tropical storm or hurricane watch or warning is issued for any part of Texas by the National Hurricane Center of the National Weather Service or any successor agency;
 - b. continuing for the time period during which the tropical storm or hurricane conditions exist anywhere in Texas; and
 - c. ending 72 hours following the termination of the last tropical storm or hurricane watch or warning issued for any part of Texas by the National Hurricane Center of the National Weather Service or any successor agency.
2. **Named storm loss** – means direct physical loss or damage to property arising from wind, wind gusts, hail, rain, tornadoes, or cyclones caused by or resulting from a **named storm**.

Named storm loss does not include flood; surface water; waves; tidal water or tidal waves; tsunami, seiche, or storm surge; overflow of streams, other bodies of water, or spray from any of these, whether or not driven by wind or however caused.

In the event of a covered **named storm loss**, CONDITIONS – PART I, provision 2. Deductible – PART I, section 2.a.(1) is deleted and replaced as follows:

2. Deductible – PART I

- a. We will pay only when the amount of a loss covered under PART I, or an expense covered under OTHER COVERAGES – PART I exceeds the amount of the deductible shown on the declarations page, and then we will pay only the amount exceeding the deductible.

(1) **Named Storm**

The amount shown on the declarations page for the **named storm** deductible will be deducted from the combined amount of each loss under PART I that results from a **named storm**. The **named storm** deductible applies regardless of any other cause or event aggravating or contributing concurrently or in any sequence to the **named storm loss**.

The **named storm** deductible shown on the declarations page applies for loss or damage to covered property caused during the entire period of a **named storm**.

All of the provisions of your policy that are not affected by this endorsement remain unchanged.



Auto Club Indemnity Company



17025120007 539 18-40 HTX001581744

Consumer Bill of Rights

Homeowners, Dwelling, and Renters Insurance

What is the Bill of Rights?

It is a basic outline of important rights you have under Texas law. Insurance companies must give you this Bill of Rights with your policy. It is important to read and understand your policy.

The Bill of Rights is not:

- ☐ A complete list of all your rights,
- ☐ Part of your policy, or
- ☐ A list of everything that you are responsible for.

Questions about these rights?

- ☐ If you are not sure about anything in your policy, ask your agent or insurance company.
- ☐ If you have questions or a complaint, contact the Texas Department of Insurance (TDI) at:

Call with a question: 1-800-252-3439

Email with a question: ConsumerProtection@tdi.texas.gov

File a complaint through the website:

www.tdi.texas.gov/consumer/get-help-with-an-insurance-complaint.html

- ☐ To learn more about insurance, visit www.opic.texas.gov or call the Office of Public Insurance Counsel (OPIC) at 1-877-611-6742.

AVISO: Este documento es un resumen de sus derechos como asegurado. Tiene derecho a llamar a su compañía de seguros y obtener una copia de estos derechos en español. Además, puede ser que su compañía de seguros tenga disponible una versión de su póliza en español.

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Where to Get Information

1. **Your insurance company.** When you get a copy of your policy you will also get an “Important Notice” from the company. The notice explains how to contact your company and how to file a complaint. You may request a complete copy of your policy from your company at any time.
2. **Your declarations page.** The declarations page, also called the “dec page,” shows: (a) the name and address of your insurance company, (b) the location of the insured property, (c) the dates your policy is in effect, and (d) the amounts and types of coverage.

Your company must list the exact dollar amount of each deductible in your policy. The declarations page, or a separate page, must also list any part of your policy that changes any deductible amount.
3. **The Texas Department of Insurance (TDI).** You have the right to call TDI for free at 1-800-252-3439 for information and help with a complaint against an insurer. You can also find information on the TDI website at www.tdi.texas.gov.
4. **Resources for shopping for insurance.** The Office of Public Insurance Counsel (OPIC) and TDI developed www.HelpInsure.com to help you compare rates and coverages for different insurance companies. OPIC also has an online tool to help you compare policies. You can find this policy comparison tool at www.opic.texas.gov.

What You Should Know When You File a Claim

5. **Deadlines for processing claims and payments for your damages.** You should file your claim with your insurance company as soon as possible. When you file a claim for your damages on your own policy, the insurance company must meet these deadlines:
 - ☐ **Within 15 days after you file a claim:** The company must let you know they received your claim. The company must also start their investigation and ask you for any other information they need.
 - ☐ **Within 15 business days after they get all the information they need:** The company must approve or deny your claim in writing. They can extend this deadline up to **45 days** from the date they: (a) let you know they need more time, and (b) tell you why.
 - ☐ **Within 5 business days after they let you know your claim is approved:** The company must pay the claim.

Note: TDI can extend these deadlines by 15 more days if there is a weather-related catastrophe.

If your company fails to meet these deadlines, you may be able to collect the claim amount, interest, and attorney’s fees.

6. **Written explanation of claim denial.** Your insurance company must tell you in writing why your claim or part of your claim was denied.
7. **Reasonable investigation.** Your insurance company cannot refuse to pay your claim without a reasonable investigation of the claim. You should keep records of all claim communications (including notes from phone calls) and other claim documentation (including damage estimates and receipts).
8. **Information not required for processing your claim.** Your insurance company can only ask for information reasonably needed for their claim investigation. However, they cannot ask for your federal income tax returns unless: (a) they get a court order, or (b) your claim involves a fire loss, loss of profits, or lost income.
9. **Right to contract with a public insurance adjuster.** Your insurer cannot include a provision in your policy that prohibits you from contracting with a licensed public insurance adjuster to act on your behalf in negotiating for or effecting the settlement of a claim.
10. **Release of claim payments from lenders.** Often an insurance company will make a claim payment to you and your lender. If your lender gets the payment:
 - ☐ **No later than 10 days after receiving it they must:** (a) notify you, and (b) tell you what you must do so the money can be released.

- **No later than 10 days after you ask for the money, they must:** (a) send the money to you, or (b) tell you how to get the money released.

If your lender does not: (a) provide the notices mentioned above, or (b) pay the money after all the requirements have been met, the lender must pay you interest on the money.

11. Notice of liability claim settlement. Liability means you are responsible for other people's injuries or damage to their property. Your insurance company must let you know in writing:

- ☐ About the first offer to settle a claim against you within **10 days** after the offer is made.
- ☐ About any claim settled against you within **30 days** after the date of the settlement.

Who to Contact for Claim Disagreements

12. Claim disagreements. You can dispute the amount of your claim payment or what is covered under your policy. You can:

- ☐ Contact your insurance company.
- ☐ Contact an attorney to advise you of your rights under the law. The State Bar of Texas can help you find an attorney.
- ☐ Pay a licensed public adjuster to review the damage and handle the claim.
- ☐ File a complaint with TDI.

What You Should Know about Renewal, Cancellation, and Nonrenewal

Renewal means that your insurance company is extending your policy for another term.

Cancellation means that, **before the end of the policy period**, the insurance company:

- ☐ Terminates the policy;
- ☐ Gives you less coverage or limits your coverage; or
- ☐ Refuses to give additional coverage that you are entitled to under the policy.

"Refusal to renew" and **"nonrenewal"** are terms that mean your coverage ends **at the end of the policy period**. The policy period is shown on the declarations page of your policy.

13. Notice of premium increase. If your insurance company plans to increase your premium by 10 % or more on renewal, your company must send you notice of the rate increase at least **30 days** before your renewal date.

14. Insurance company cancellation of homeowners policies. If your homeowners policy has been in effect for **60 days or more**, your company can only cancel your policy if:

- ☐ You don't pay your premium when it is due;
- ☐ You file a fraudulent claim;
- ☐ There is an increase in the risk covered by the policy that is: (a) within your control, and (b) would make your premium go up; or
- ☐ TDI decides that keeping the policy violates the law.

If your policy has been in effect for **less than 60 days**, your company can only cancel your policy if:

- ☐ One of the reasons listed above applies;
- ☐ They reject a required inspection report within **10 days** after getting the report. The report must be done by a licensed or authorized inspector and cannot be more than 90 days old; or
- ☐ They find something that creates an increase in risk that you did not include in your application and is not related to a prior claim.

15. Insurance company cancellation of other residential property policies. After your policy has been in effect for **90 days**, your company can only cancel your policy if:

- ☐ You don't pay your premium when it is due;
- ☐ You file a fraudulent claim;
- ☐ There is an increase in the risk covered by the policy that is: (a) within your control, and (b) would make your premium go up; or
- ☐ TDI decides that keeping the policy violates the law.



16. Notice of cancellation. If your insurance company cancels your policy, they must let you know by mail at least **10 days** before the effective date of the cancellation. Check your policy because your company may give you more than 10 days' notice.

17. Your right to cancel. You can cancel your policy at any time and get a refund of the unearned premium.

18. Refund of premium. If you or your insurance company cancel your policy, the company must refund any unearned premium within 15 business days from:

- ☐ the date the company receives notice of the cancellation; or
- ☐ the date of cancellation, whichever is later.

You must let your company know you want the refund sent to you. If not, they may refund the remaining premium by giving you a premium credit on the same policy.

19. Limits on using claims history for nonrenewal. Your insurance company cannot refuse to renew your policy based on claims for damage from natural causes, including weather-related damage; or claims that are filed but not paid or payable under the policy.

Appliance-related water damage claims. Your insurance company cannot refuse to renew your policy based on an appliance-related water damage claim if:

- ☐ The damage has been properly repaired or remediated; and
- ☐ The repair or remediation was inspected and certified.

However, your insurance company may refuse to renew your policy based on appliance-related water damage claims if:

- ☐ Three or more claims were filed and paid (including a claim filed by a prior owner on your property); or
- ☐ You (a) file 2 claims within a three-year period; and (b) after the second claim, your company gives you written notice that filing a third appliance-related claim could result in your policy not being renewed; and
- ☐ You file a third claim.

Claims other than appliance-related water damage claims. Your insurance company cannot refuse to renew your policy based on other claims unless:

- ☐ You (a) file 2 claims within a three-year period; and (b) after the second claim, your company gives you written notice that filing a third claim could result in your policy not being renewed; and
- ☐ You file a third claim.

20. Limits on using claims history to increase premium. Your insurance company cannot increase your premium based on claims for damage from natural causes, including weather-related damage, or claims that are filed but not paid or payable under your policy.

Appliance-related water damage claims. Your company cannot increase your premium based on a prior appliance-related water damage claim if:

- ☐ The damage has been properly repaired or remediated; and
- ☐ The repair or remediation was inspected and certified.

However, your insurance company may increase your premium based on prior appliance-related water damage claims if:

- ☐ Three or more claims were filed and paid (including a claim filed by a prior owner on your property).

Claims other than appliance-related water damage claims. Your insurance company cannot increase your premium based on other claims unless:

- ☐ You file 2 or more claims within a three-year period.

21. Right to ask questions. You can ask your insurance company a question about your policy. They cannot use your questions to deny, nonrenew, or cancel your coverage. Your questions also cannot be used to determine your premium.

For example, you may ask:

- ☐ General questions about your policy;
- ☐ Questions about the company's claims filing process; and
- ☐ Questions about whether the policy will cover a loss, unless the question is about damage: (a) that occurred, and (b) that results in an investigation or claim.

22. Limit on using credit information to nonrenew your policy. An insurance company cannot refuse to renew your policy solely because of your credit.

23. Protections from discrimination. An insurance company cannot refuse to insure you; limit the coverage you buy; refuse to renew your policy; or charge you a different rate based on your race, color, creed, country of origin, or religion.

24. Protection for low-value property. An insurance company cannot refuse to renew your policy because the property value is low.

25. Protection for older houses. An insurance company cannot refuse to renew your policy based on the age of your property. However, they can refuse to renew your policy based on the condition of your property, including your plumbing, heating, air conditioning, wiring, or roof.

26. Notice of nonrenewal. Your insurance company must send you a notice that they are not renewing your policy. They must let you know at least **60 days** before your policy expires, or you can require them to renew your policy.

27. Notice of a "material change" to your policy. If your insurance company does not want to cancel or nonrenew your policy, but wants to make certain material changes, then they must explain the changes in writing at least **30 days** before the renewal date. Material changes include:

- ☐ Giving you less coverage;
- ☐ Changing a condition of coverage; or
- ☐ Changing what you are required to do.

Instead of a notice of "material change" a company may choose to not renew your existing policy. If so, the company has to send a nonrenewal letter, but may still offer you a different policy.

Note: A company cannot reduce coverage during the policy period unless you ask for the change. If you ask for the change, the company does not have to send you a notice.

28. Written explanation of cancellation or nonrenewal. You can ask your insurance company to tell you in writing the reasons for their decision to cancel or not renew your policy. The company must explain in detail why they cancelled or nonrenewed your policy.



Auto Club Indemnity Company



TEXAS PREFERRED HOMEOWNERS POLICY – FORM 3

THIS POLICY IS A LEGAL CONTRACT BETWEEN YOU AND US. READ YOUR POLICY CAREFULLY.

This cover sheet provides only a brief outline of some of the important features of your policy. This cover sheet is not the insurance contract and only the actual policy provisions will control. The policy itself sets forth, in detail, the rights and obligations of both you and your insurance company. IT IS THEREFORE IMPORTANT THAT YOU READ YOUR POLICY.

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AGREEMENT

We will provide the insurance you have selected in return for the premium due us and compliance with all policy provisions. The enclosed declarations page shows the policy period, the premises to which this insurance applies, the coverages and limits you have chosen, and your premiums. Insurance under this policy is provided only for the coverages for which a premium is shown on the declarations page. The declarations page is part of this policy.

DEFINITIONS

Throughout this policy:

1. "We", "us", or "our" means the Auto Club Indemnity Company.
2. "You" or "your" means any named insured on the declarations page. If there is only one named insured on the declarations page and that insured is a natural person, "you" or "your" includes a spouse of the named insured if a resident of the same household.
3. Certain words and phrases have a defined meaning when printed in ***bold italic*** type:

Actual cash value – means the amount it would cost to repair or replace covered property, at the time of loss or damage, with material of like kind and quality, subject to a deduction for physical deterioration, ***depreciation***, and obsolescence. ***Actual cash value*** applies to valuation of covered property regardless of whether that property has sustained partial or total loss or damage. The ***actual cash value*** of the lost or damaged property may be significantly less than its replacement value.

Aggression – means hostile or destructive behavior or actions. ***Aggression*** does not include the use of reasonable force by the ***insured*** to protect persons or property.

Aircraft – means any contrivance used or designed for navigation of or flight in the air.

Bodily injury – means bodily harm, bodily sickness, bodily disease, or death, including consequential damage from any of these.

Bullying – means the activity of repeated, aggressive behavior intended, or which can reasonably be expected, to hurt another person, physically or mentally.

Business – means any full or part time activity intended for economic gain. ***Business*** includes, but is not limited to, a commercial enterprise, a trade, a profession, an occupation or job, and the renting, leasing, or holding for rental or for lease of any part of any premises by any ***insured***.

Business day – when used in this policy means a day other than a Saturday, Sunday, or holiday recognized by the State of Texas.

Cyberbullying – means the use of technology, such as the internet or text messaging, to post derogatory or hateful material about another.

Depreciation – means the lessening of the economic value of any property due to age; physical wear and tear; and obsolescence.

Drug – means any substance listed in the schedules of controlled substances in Chapter 13 of Title 21 of the United States Code.

Electronic data processing equipment – means:

- a. Computer hardware, including any:
 - (1) internal and external components;
 - (2) peripheral devices; and
 - (3) storage or recording media.
- b. Computer software, meaning computer:
 - (1) programs; and
 - (2) applications.

Insured – means:

- a. You and the following residents of your household:
 - (1) Your relatives by:
 - (a) blood;
 - (b) marriage; or
 - (c) adoption.
 - (2) Any other person under the age of 21 who is in the care of you or any person included under a.(1) above and for whom you have assumed legal responsibility. This includes:
 - (a) a ward; or
 - (b) foster child.

Under PART II, **insured** also means:

- b. With respect to any animal or watercraft that this policy applies to:
 - (1) any person; or
 - (2) any organization;that is legally responsible for that animal or watercraft which is owned by you or any person included in a. above.

A person or organization is not an **insured** when they use or have custody of these animals or watercraft:

 - (1) in the course of any **business**; or
 - (2) without the permission of the owner.
- c. With respect to any vehicle to which this policy applies:
 - (1) any person while engaged in the employment of any person included in a. above; or
 - (2) any other person using the vehicle on an **insured location** with your permission.

Insured location – means:

- a. The **residence premises**.
- b. Under PART II, **insured location** also means that part of any other premises, other structures and grounds you acquire during the policy period for your use as a residence.
- c. Any premises used by you in connection with any premises listed in a. or b. above.
- d. Any part of any premises not owned by any **insured** where an **insured** is temporarily residing.
- e. Vacant land, other than farmland, that is owned by, rented to, or leased to any **insured**.
- f. Land that is owned by, rented to, or leased to any **insured** on which a one or two family dwelling is being built as a residence for any **insured**.
- g. Individual or family cemetery plots or burial vaults of any **insured**.
- h. Any part of a premises occasionally rented to any **insured** for other than **business** purposes.

Occurrence – means an accident. This includes continuous or repeated injurious exposure to essentially the same conditions, which, during the policy period, results in **bodily injury** or **property damage**. Continuous or repeated injurious exposure to essentially the same conditions is considered to be one **occurrence**.

Personal injury – means injury which, during the policy period, arises out of one or more of the following:

- a. false arrest, detention, or imprisonment;
- b. malicious prosecution, provided all actions of or on behalf of any **insured** which gave rise to the claim of malicious prosecution occurred during the time that **insured** has been insured under this or any other homeowners policy issued by us;



- c. libel, slander, or defamation of character, provided the first publication or utterance was made by or on behalf of any **insured** during the time that **insured** has been insured under this or any other homeowners policy issued by us;
- d. invasion of privacy, wrongful eviction, or wrongful entry.

Pollutant – means any solid, liquid, vaporous, gaseous or thermal irritant or contaminant. It includes, but is not limited to, asbestos; radon; carbon monoxide gas; fuel oil; gasoline; lead paint; PCB; and waste. Waste includes materials to be recycled, reconditioned, or reclaimed.

Pollutant does not include:

- a. Loss caused by **pollutants** that escape from heating and air conditioning systems and appliances (HVAC).
- b. Loss caused by common household chemicals used to maintain the **residence premises**.
- c. Loss caused by **pollutants** released from a hostile fire. A hostile fire is a fire which becomes uncontrollable or breaks out from where it was intended to be.

Property damage – means physical injury to or destruction of tangible property. This includes any loss of use arising out of the physical injury to or destruction of tangible property.

Remediation – means the reasonable and necessary treatment, containment, removal, or disposal of mold, fungus, wet rot, dry rot, or bacteria.

Remediation also includes any testing done to detect, measure, or evaluate mold, fungus, wet rot, dry rot, or bacteria.

Replacement cost – means:

- a. With respect to buildings and structures that are not buildings, the lesser of the cost to repair or to replace covered, damaged or destroyed property:
 - (1) at the **residence premises**;
 - (2) for the same use; and
 - (3) with materials of like or reasonably similar kind and quality.

Replacement cost does not include:

- (1) the loss to any property;
- (2) the cost of repairing, reconstructing, or demolishing any property; or
- (3) the cost of removing the debris of any property;

occurring as a result of the enforcement of any building ordinance or law.

Limited building ordinance or law coverage for the dwelling is provided under provision 5. BUILDING ORDINANCE OR LAW of OTHER COVERAGES – PART I.

- b. With respect to personal property; awnings; wall-to-wall carpeting; household appliances; outdoor equipment; and outdoor antennas, the cost, at the time of the loss, of new property:
 - (1) identical to the lost or damaged property; or
 - (2) of like or reasonably similar kind and quality and of comparable usefulness as the lost or damaged property if identical property is not obtainable.

Residence employee – means an employee of any **insured** who:

- a. performs duties in connection with the maintenance or use of the **residence premises**, including household or domestic services; or
- b. performs duties elsewhere of a similar nature not in connection with the **business** of any **insured**.

Residence premises – means:

- a. the one or two family dwelling, other structures and grounds; or
- b. that part of any other building;

that is where you reside and that is shown as the **residence premises** on the declarations page.

Theft – means the unlawful taking and carrying away of property from another person with the intent to deprive the other person of that property.

Theft includes:

- a. attempted **theft**; or
- b. loss of property from a known location when it is likely that the property has been stolen.

Theft does not include the conversion; embezzlement; or secretion of another's property by any person to whom possession was entrusted. This applies whether or not entrustment was obtained by trick or false pretense.

Wildfire – means a fire predominately fueled by timber, scrub, brush, grass, or any other type of vegetation.

Wildfire smoke – means any smoke, soot, ash, char, odor, dust, particulate or other material (all whether or not settled, airborne, wind-borne, or wind-driven) that is produced, discharged, emitted or released by, or otherwise caused by or resulting from, a **wildfire**.

Wildfire smoke loss – means accidental direct physical loss to property covered under PART I which is caused by **wildfire smoke** and the loss:

- a. occurs; and
- b. is reported to us;

no later than 60 calendar days following the extinguishment of the **wildfire**.

PART I – PROPERTY COVERAGES

COVERAGE A – DWELLING

COVERAGE B – OTHER STRUCTURES

COVERAGE C – PERSONAL PROPERTY

WHAT PROPERTY IS COVERED – COVERAGE A AND COVERAGE B

1. Under COVERAGE A we cover:
 - a. The dwelling on the **residence premises**, including structures attached to the dwelling. This shall not include, when attached to the dwelling, driveways; walkways; patios; fences; and external walls that are not a part of the perimeter of the dwelling and not needed for the structural strength of the dwelling.
 - b. Materials and supplies located on or next to the **residence premises** for use in building of; altering of; or repairing of, the dwelling or other structures on the **residence premises**.
 - c. Wall-to-wall carpeting installed in the dwelling on the **residence premises**.
 - d. Outdoor antennas on the **residence premises**.
2. Under COVERAGE B we cover:
 - a. When attached to the dwelling, driveways; walkways; patios; and fences.
 - b. External walls that:
 - (1) are attached to but not part of the perimeter of the dwelling; and
 - (2) are not needed for the structural integrity of the dwelling.
 - c. Other structures on the **residence premises**, either:
 - (1) set apart from the dwelling by clear space; or
 - (2) connected to the dwelling only by a fence, utility line, or similar connection.
 - d. Wall-to-wall carpeting installed in other buildings on the **residence premises**.



WHAT PROPERTY IS NOT COVERED – COVERAGE A AND COVERAGE B

1. Under COVERAGES A and B we do not cover:
 - a. any land, including the land supporting the dwelling or other structures;
 - b. the cost to replace, rebuild, stabilize, or otherwise restore land;
 - c. the cost of any device or treatment applied to land for the purpose of adding, protecting, or restoring the stability of any structure supported by that land.
2. In addition, under COVERAGE B we do not cover structures used in whole or in part in **business**, however, this shall not apply to:
 - a. structures that are rented, leased, or held for rental or lease to any person who is a tenant of the dwelling;
 - b. garages that are rented, leased, or held for rental or lease for use as private parking garages.

WHAT PROPERTY IS COVERED – COVERAGE C

Under Coverage C, we cover personal property that is owned or used by any **insured** while it is anywhere in the world.

At your request, we also cover personal property:

1. owned by others while the property is on the part of the **residence premises** occupied solely by an **insured**;
2. owned by a guest or a **residence employee** while the property is in any residence occupied by an **insured**.

Our limit of liability for personal property usually situated at a location other than the **residence premises** is 10% of the amount of the limit of liability for COVERAGE C. Personal property in a newly acquired primary residence is not subject to this limitation for the 30 days after you begin to move the property there.

WHAT PROPERTY IS COVERED SUBJECT TO INDIVIDUAL LIMITS OF LIABILITY – COVERAGE C

Individual limits of liability apply to certain categories of personal property. These limits do not increase the COVERAGE C limit of liability. The limit that is shown below for each category is the most we will pay for each loss to all property in that category. The lowest applicable limit shall apply to property that falls into more than one category.

1. \$200 on money; cryptocurrency; bank notes; bullion; gold, other than goldware; silver, other than silverware; platinum; medals; coins and coin collections; and other numismatic property.
2. \$1,500 on securities; accounts; deeds; evidences of debt; letters of credit; notes, other than bank notes; checks, other negotiable instruments; stored value cards; manuscripts; passports; tickets; personal records; personal data; stamps, stamp collections, and other philatelic property.

This limit:

- a. Applies regardless of the type of medium on which these items are stored; such as paper or **electronic data processing equipment**.
- b. Includes the cost of researching, retrieving, restoring, or replacing any lost, damaged, or destroyed information in these items.
3. \$1,000 on camper bodies; slide-on campers; or camper shells, that are not permanently attached to a motor vehicle.
4. \$1,500 on watercraft, including their trailers; furnishings; equipment; and outboard motors.
5. \$1,500 on trailers that are not used with watercraft.
6. a. \$2,500 on property used or intended for use in **business**, at any time, while that property is located on the **residence premises**.
- b. \$1,500 on property used or intended for use in **business**, at any time, while that property is located away from the **residence premises**.

This category does not include:

- a. **electronic data processing equipment**;
 - b. **business** records or **business** data.
7. \$2,500 for loss by **theft** of jewelry, watches, furs, and precious and semiprecious stones, including items that derive their principal value from precious or semiprecious stones.
 8. \$2,500 for loss by **theft** of silverware, silver-plated ware, goldware, and gold-plated ware, including flatware; hollowware; tea or coffee sets; trays; trophies and similar items; other utilitarian items made of or including silver, pewter, or gold.
 9. \$2,500 for loss by **theft** of firearms.
 10. \$2,500 for loss by **theft** of valuable rugs; carpets; tapestries; and wall hangings, whether used for utilitarian or ornamental purposes.
 11. a. \$10,000 for loss by **theft** of tools from the **residence premises**.
 - b. \$2,500 for loss by **theft** of tools while located away from the **residence premises**.
 12. a. \$5,000 on **electronic data processing equipment** whether or not it is used in **business**, while located on the **residence premises**.
 - b. \$2,500 on **electronic data processing equipment** while located away from the **residence premises**.
 13. \$2,500 on collectibles not intended for utilitarian purposes that derive their value from their desirability to collectors, and fine arts including, but not limited to, paintings, etchings, art glass windows, glassware, statuary, figurines, marble, bric-a-brac, porcelains, bronzes, and similar articles.
 14. \$1,000 on cannabis, cannabis plants, or any items or paraphernalia used to grow or cultivate cannabis or cannabis plants if deemed legal in your state or locality.
 15. \$2,000 on equipment, accessories, and parts designed for use with a motor vehicle or other motorized land conveyance not attached to or located in or upon a motor vehicle or other motorized land conveyance.
 16. \$10,000 on motor vehicles or any other kind of motorized land conveyance that is not subject to motor vehicle registration and used exclusively to service an **insured's** residence. This does not include motorized land vehicles designed to assist and be used by the physically disabled and electric bicycles.
 17. \$5,000 on any electric bicycle that is not subject to motor vehicle registration, that provides assistance when the rider is pedaling, and was not built or modified to exceed 28 miles per hour.

WHAT PROPERTY IS NOT COVERED – COVERAGE C

Under COVERAGE C we do not cover:

1. Property that is specifically insured and that is separately described, either individually or as a class, in this or any other insurance.
2. Animals of any kind.
3. Motor vehicles or any other kind of motorized land conveyances including, but not limited to:
 - a. permanently attached equipment;
 - b. equipment, accessories, and parts designed for use with a motor vehicle or other motorized land conveyance as a means of transportation while it is located in or upon a motor vehicle or other motorized land conveyance; and
 - c. camper bodies, slide-on campers, or camper shells while located in or upon a motor vehicle.

We do cover any motor vehicle or any other motorized land conveyance that is not subject to motor vehicle registration and:

- a. is designed to assist and be used by the physically disabled;
- b. is to be used exclusively to service an **insured's** residence; or



- c. is an electric bicycle that:
 - (1) provides assistance when the rider is pedaling; and
 - (2) was not built or modified to exceed 28 miles per hour.
- 4. Any devices or other instruments, which are used for the transmission; recording; reception; or reproduction of sound and/or pictures if it is permanently installed in a motor vehicle, other motorized land conveyance, trailer, or watercraft. This includes:
 - a. their accessories and antennas;
 - b. tapes, cassettes, wires, records, discs, cartridges, or other media for use with any such devices or instruments;while located in or upon the motor vehicle, other motorized land conveyance, trailer, or watercraft.
- 5. **Aircraft** and parts.

However, we do cover model **aircraft** of the hobby variety (including airplanes, helicopters, or drones) not used or designed to carry people or cargo.
- 6. Property of roomers, boarders, tenants, renters, or residents of the **residence premises**, that are not related to any **insured**.
- 7. Property contained in an apartment regularly:
 - a. rented;
 - b. leased; or
 - c. held for rental or lease;to others by any **insured**.
- 8. Property rented, leased, or held for rental or lease to others that is away from the **residence premises**.
- 9. **Business** records or **business** data, regardless of the type of medium. Medium can include, but is not limited to, paper or **electronic data processing equipment**, on which the records or data are stored. We will pay for blank or unexposed media of the type used for the storage of the lost or damaged **business** records or **business** data.
- 10. Computer software that, at the time of the loss, cannot be replaced on the retail market with other of like or reasonably similar kind and quality. This includes later releases of the same software. We will pay for blank or unexposed media of the type used for the storage of computer software that cannot be replaced.
- 11. Credit cards or fund transfer cards, except as provided under provision 10. CREDIT CARD, FUND TRANSFER CARD, FORGERY, AND COUNTERFEIT MONEY of OTHER COVERAGES – PART I.

OTHER COVERAGES – PART I

1. LOSS OF USE

- a. If a loss covered under PART I to covered property, or to the building containing the property, makes the **residence premises** unfit to live in by rendering it unsafe for human habitation or by creating a condition that prevents the performance of any of the functions needed for human habitation, we will pay:
 - (1) Any reasonable and necessary increase in living expenses actually incurred by you while that part of the **residence premises** that you occupy is unfit to live in.
 - (2) Actual loss of rental income while that part of the **residence premises** that was rented or leased to others at the time of the loss is unfit to live in. Our payment shall be reduced by the expenses that do not continue while the rented part of the **residence premises** is unfit to live in.

Payment shall be:

- (1) for the shortest time required to repair or replace the damage; or

(2) if you permanently relocate, the shortest time required to establish your household elsewhere;

not to exceed a total of 12 months from the date of loss.

- b. If a civil authority prohibits you from occupying the **residence premises** as a result of direct damage to neighboring premises by a cause of loss covered under PART I, we will pay any reasonable and necessary increase in living expenses as described under a.(1) above, and actual loss of rental income as described under a.(2) above for a period not exceeding two weeks during which occupancy is prohibited.

The periods of time under a. and b. above are not limited by the expiration of the policy; however, the events causing the **residence premises** to become unfit to live in, or the order of civil authorities prohibiting you from occupying the **residence premises**, must occur during the policy period.

We do not cover:

- a. loss of use due to the **residence premises** becoming unfit to live in more than 12 months after the date of the physical loss that gave rise to the claim for loss of use;
- b. loss of use due to the **residence premises** becoming unfit to live in because of the presence or **remediation** of mold, fungus, wet rot, dry rot, or bacteria, except as specifically covered under provision 12. MOLD, FUNGUS, WET ROT, DRY ROT, OR BACTERIA of OTHER COVERAGES – PART I.

Our limit of liability under provision 1. shall not exceed the amount of the limit of liability stated on the declarations page for LOSS OF USE.

This coverage is additional insurance.

2. REMOVAL OF FALLEN TREES

We will pay the reasonable expense actually incurred by you to remove fallen trees from the **residence premises** if:

- a. coverage is not afforded under provision 3. TREES, SHRUBS, AND OTHER PLANTS of OTHER COVERAGES – PART I; or
- b. the tree is not covered by this policy;

provided the tree damages covered property and a loss covered under COVERAGE C is the cause of the tree falling.

Our limit of liability shall not exceed \$500 in the aggregate for any one loss.

This coverage is additional insurance.

3. TREES, SHRUBS, AND OTHER PLANTS

We cover outdoor trees, outdoor shrubs, outdoor plants, or lawns on the **residence premises** for loss by the following: fire or lightning; explosion; riot or civil commotion; **aircraft**; vehicles, not owned or operated by a resident of the **residence premises**; vandalism or malicious mischief; or **theft**.

Under this provision, we do not cover:

- a. property grown for **business** purposes; or
- b. cannabis plants.

Our limit of liability shall not exceed:

- a. 5% of the amount of the limit of liability of COVERAGE A for all outdoor trees, outdoor shrubs, outdoor plants, or lawns; nor
- b. more than \$500 for any one tree, shrub, or plant.

This coverage is additional insurance.

4. FIRE DEPARTMENT SERVICE CHARGE

We will pay up to \$500 for your liability assumed by contract or agreement for the fire department service charges actually incurred by you when the fire department is called to save or protect covered property from a covered loss.



We will not pay fire department service charges if the property is located within the limits of the city, municipality, or protection district furnishing the fire department response.

This coverage is additional insurance.

5. BUILDING ORDINANCE OR LAW

If a cause of loss covered under WHAT LOSSES ARE COVERED – COVERAGE A AND COVERAGE B results in direct damage to the dwelling, and a building ordinance or law that was in effect at the time of the loss is enforced because of that loss, and:

- a. You elect not to repair or replace the dwelling, or you elect to replace the dwelling at a location other than the **residence premises**, we will pay:

- (1) the additional cost actually and necessarily incurred by you for the direct damage to the dwelling and resulting from the enforcement of any applicable ordinance or law that requires the demolition, meaning the tearing down of the entire undamaged portion of the dwelling, and the removal of its debris;
- (2) for loss to the undamaged portion of the dwelling demolished because of the enforcement of any ordinance or law.

Our limit of liability under this option shall not exceed 5% of the amount of the limit of liability of COVERAGE A for:

- (1) the cost actually and necessarily incurred by you under (1) above; and
 - (2) the **actual cash value**, but not less than the fair market value at the time of the loss, of the undamaged portion of the dwelling under (2) above.
- b. You elect to repair or replace the dwelling at the location of the **residence premises** or, if ordinance or law mandates relocation, you replace the dwelling at a location subject to generally the same building ordinances or laws as the **residence premises**, we will pay the additional cost actually and necessarily incurred by you for the direct damage to the dwelling and resulting from the enforcement of any applicable ordinance or law:
- (1) regulating the repair or replacement of the damaged portion of the dwelling;
 - (2) requiring the demolition, meaning the tearing down and removing the debris of, and regulating the reconstruction of:
 - (a) the entire undamaged portion of the dwelling; or
 - (b) any part of the undamaged portion of the dwelling if needed to:
 - i. repair the damaged portion;
 - ii. bring the undamaged portion into conformity with any applicable ordinance or law.

However, until repair or replacement is completed, we will pay no more than:

- (a) the cost actually and necessarily incurred by you for the demolition of any undamaged portion of the dwelling, including the removal of its debris; and
- (b) the **actual cash value** of any undamaged portion of the dwelling.

Our limit of liability under this option shall not exceed 5% of the amount of the limit of liability of COVERAGE A for the additional cost actually and necessarily incurred by you under (1) and (2) above.

We do not cover:

- a. any additional cost resulting from the enforcement of any ordinance or law:
- (1) that you were required to comply with before the loss to the dwelling occurred, but you failed to do so;
 - (2) to conform, correct, or remedy any original or subsequent repair, remodeling, renovation, construction, or addition to the dwelling which did not comply with any ordinance or law in effect when the repair, remodeling, renovation, construction, or addition was completed;
 - (3) requiring or regulating the:

- (a) replacement; rebuilding; stabilization; or other restoration of the land supporting the dwelling;
 - (b) application of any device or treatment to any land for the purpose of adding, protecting, or restoring the stability of the dwelling;
 - (c) testing for, cleanup or removal of, or other specified treatment of **pollutants**; or
 - (d) **remediation** of mold, fungus, wet rot, dry rot, or bacteria, except as specifically covered under provision 12. MOLD, FUNGUS, WET ROT, DRY ROT, OR BACTERIA of OTHER COVERAGES – PART I.
- b. any lessening of the value of the dwelling resulting from the enforcement of any ordinance or law.

This coverage is additional insurance.

6. REMOVAL OF DEBRIS

We will pay reasonable expenses actually incurred by you in the removal of:

- a. debris of covered property, provided the loss to the property is from a cause of loss identified under:
 - (1) WHAT LOSSES ARE COVERED – COVERAGE A AND COVERAGE B; or
 - (2) WHAT LOSSES ARE COVERED – COVERAGE C;
 as applicable to the property;
- b. that portion of volcanic ash, dust, or particulate matter that has caused direct loss to a covered building or to covered property that is contained in a building covered under PART I.

The expense for the removal of debris and volcanic ash is included in the amount of the limit of liability applying to the damaged property. When the amount payable for the actual damage to the property plus the expense for the removal of debris and volcanic ash exceeds the amount of the limit of liability for the damaged property, an additional 5% of the amount of that limit of liability will be available to cover the expense of removing debris and volcanic ash.

7. REMOVAL OF PROPERTY

We will pay reasonable expenses actually incurred by you in the removal of covered property which is imminently endangered by a loss covered under PART I and which otherwise would have been damaged or destroyed.

This coverage does not increase the limit of liability that applies to the property that is being removed.

8. REASONABLE EMERGENCY MEASURES

We will pay reasonable expenses actually incurred by you for the necessary emergency measures taken solely to protect your covered property from further damage after a loss covered under PART I. If this involves repair to property other than the property to be protected, we will pay only for the repair of other property that is covered under PART I and damaged by a cause of loss covered under PART I.

This coverage does not increase the limit of liability applicable to the covered property.

9. PROPERTY REMOVED

We will cover property insured under PART I while being removed from premises endangered by a loss covered under PART I. We will cover that removed property for up to 30 days for direct loss from any cause.

This coverage does not increase the limit of liability applicable to the property being removed.

10. CREDIT CARD, FUND TRANSFER CARD, FORGERY, AND COUNTERFEIT MONEY

We will pay up to \$500 for:

- a. the legal obligation of any **insured** to pay because of the **theft** or unauthorized use of any credit card issued to or registered in any **insured's** name;
- b. loss resulting from the **theft** or unauthorized use of any fund transfer card used for:
 - (1) deposit;



(2) withdrawal; or

(3) transfer of funds;

issued to or registered in any **insured's** name;

- c. loss to any **insured** caused by the forgery or alteration of that **insured's** check or other negotiable instrument;
- d. loss to any **insured** through acceptance in good faith of counterfeit USA or Canadian paper money.

All loss that resulted from a series of acts that were committed by any one person, or in which any one person is concerned or implicated, is considered to be one loss.

We do not cover:

- a. the **theft** or unauthorized use of any credit or fund transfer card by:
 - (1) an **insured** or any other regular resident of the **residence premises**;
 - (2) any person who has been entrusted with the credit or fund transfer card; or
 - (3) any person if any **insured** has not complied with all of the terms and conditions under which the credit or fund transfer card is issued;
- b. loss to any **insured** caused by the forgery or alteration of any **insured's** check or other negotiable instrument by an **insured** or any other regular resident of the **residence premises**;
- c. loss to any **insured** caused by any **insured's** acceptance of any check or other negotiable instrument that has been altered or forged, or that is not honored by the financial institution upon which it is drawn;
- d. loss arising out of the:
 - (1) **business**; or
 - (2) dishonesty;of any **insured**.

If a suit is brought:

- a. against any **insured** for liability under the CREDIT CARD or FUND TRANSFER CARD coverage, we will provide a defense at our expense by lawyers of our choice;
- b. for the enforcement of payment under the FORGERY coverage, we have the option to defend, at our expense:
 - (1) an **insured**; or
 - (2) an **insured's** financial institution.

We may make a settlement of any claim or lawsuit as we think proper. Our obligation to defend any claim or suit ends when the amount we pay for the loss equals our limit of liability.

This coverage is additional insurance.

11. COLLAPSE OF A BUILDING OR ANY PART OF A BUILDING

We will cover property insured under PART I against accidental direct physical loss from the collapse of a building or part of a building if it is caused by or results from:

- a. any cause of loss identified under WHAT LOSSES ARE COVERED – COVERAGE C;
- b. weight of ice, snow, sleet, or rain which collects on a roof;
- c. hidden decay;
- d. hidden insect or vermin damage;
- e. weight of contents, equipment, people, or animals;
- f. use of defective materials or methods in the construction; repair; remodeling; or renovation, if the collapse occurs during the construction; repair; remodeling; or renovation.

Collapse means the sudden and accidental complete falling down or caving in of a building, or any part of a building, but does not include cracking; shrinking; bending; bulging; expansion; or settling; whether at a uniform or differential rate, unless it is combined with the complete falling down or caving in of a building or any part of a building.

Loss to an awning; a fence; a patio, driveway, or walkway; a spa, swimming pool, or pond; an underground pipe, flue, drain, cesspool, or septic tank; a foundation or retaining wall; or a pier, bulkhead, wharf, or dock; all whether or not attached to the dwelling or any other building on the **residence premises**, is not covered unless the loss is a direct result of the collapse of a building or any part of it.

This coverage does not increase the amount of the limit of liability applicable to the property damaged or destroyed by collapse.

12. MOLD, FUNGUS, WET ROT, DRY ROT, OR BACTERIA

We will pay:

- a. For the **remediation** of mold, fungus, wet rot, dry rot, or bacteria, as required to repair or replace property covered under PART I, if the mold, fungus, wet rot, dry rot, or bacteria, is caused by or results from a loss covered under PART I.
- b. The reasonable and necessary increase in living expense, actually incurred by you, while that part of the **residence premises** that you occupy is unfit to live in due to the **remediation** of mold, fungus, wet rot, dry rot, or bacteria, if any of the above is caused by or results from a loss covered under PART I.

Our limit of liability under provision 12. shall not exceed \$5,000 in the aggregate per policy period. This coverage does not increase the amount of the limit of liability applicable to the property damaged or destroyed.

13. LOSS ASSESSMENT

We will pay any loss assessment that is charged, during the policy period, against you as a member of the association, corporation, or community of property owners of the **insured location**. We will pay provided the assessment is made as a result of:

- a. Accidental direct physical loss to the property owned by all members collectively, provided:
 - (1) the loss is from a cause of loss covered under PART I – PROPERTY COVERAGES, other than earthquake or land shock waves or tremors before, during, or after a volcanic eruption; and
 - (2) the damaged or destroyed property is the type of property that would be insurable under an Auto Club Indemnity Company homeowners policy.
- b. The following special conditions apply to this provision:
 - (1) We will pay up to \$2,000 for any loss under this provision.
 - (2) We will pay up to \$2,000 per location for each covered assessment that is made as a result of the deductible in the insurance purchased by the association, corporation, or community of property owners. This amount may not be increased, regardless of any other similar coverage provided under this policy.
 - (3) We do not cover assessments charged against you or any association, corporation, or community of property owners by any body of government.

This coverage is additional insurance.

14. WILDFIRE SMOKE

We will pay up to \$5,000 for the total of all loss payable under PART I as a result of accidental direct physical loss to property covered under PART I which is caused by **wildfire smoke** that is not a **wildfire smoke loss**. The amount payable under this provision includes:

- a. the cost required to repair or replace covered damaged or destroyed property;
- b. the cost of testing the air or property to confirm the absence, presence, or level of any **wildfire smoke**;



- c. any amount payable under provision 1. LOSS OF USE of OTHER COVERAGES – PART I;
- d. any amount payable under provision 6. REMOVAL OF DEBRIS of OTHER COVERAGES – PART I.

This coverage does not increase the amount of the limit of liability applicable to the property damaged or destroyed.

WHAT LOSSES ARE COVERED – COVERAGE A AND COVERAGE B

Except as excluded under WHAT LOSSES ARE NOT COVERED – PART I, we cover accidental direct physical loss to the property that is described under WHAT PROPERTY IS COVERED – COVERAGE A and COVERAGE B.

WHAT LOSSES ARE COVERED – COVERAGE C

Except as excluded under WHAT LOSSES ARE NOT COVERED – PART I, we cover the following accidental direct physical losses to the personal property that is described under WHAT PROPERTY IS COVERED – COVERAGE C:

- 1. FIRE AND LIGHTNING.
- 2. WINDSTORM, HURRICANE, OR HAIL.

We do not cover loss from sand; dust; rain; snow; or sleet, to property contained in a building, unless the direct force of wind or hail damages the building, causing an opening in a roof or wall, and the sand; dust; rain; snow; or sleet, enters through this opening.

We do not cover loss from windstorm, hurricane, or hail to watercraft, and their trailers; furnishings; equipment; and outboard motors, while not inside a fully enclosed building.

- 3. EXPLOSION.
- 4. RIOT OR CIVIL COMMOTION.
- 5. **AIRCRAFT**, including self-propelled missiles and spacecraft.
- 6. VEHICLES.
- 7. SUDDEN AND ACCIDENTAL DAMAGE FROM SMOKE.

We do not cover loss caused by smoke from agricultural smudging, industrial operations, or the manufacturing of any **drug**.

- 8. VANDALISM OR MALICIOUS MISCHIEF.

We do not cover vandalism or malicious mischief:

- a. committed by or at the direction of any roomer, boarder, tenant, renter, or resident of the **residence premises**; or
- b. if the dwelling has been vacant for more than 60 days prior to the loss. For the purposes of this provision, a dwelling being constructed is not considered vacant.

- 9. **THEFT**.

We do not cover loss caused by **theft**:

- a. committed by or at the direction of any **insured**, roomer, boarder, tenant, renter, or resident of the **residence premises**, except a **residence employee**;
- b. in or to a dwelling or other structure under construction, or of materials and supplies for use in the building, until the dwelling is completed and occupied;
- c. from that part of the **residence premises** rented or leased by any **insured** to any person other than an **insured**;
- d. occurring away from the **residence premises**:
 - (1) of property while at any other residence owned by, rented to, leased to, or occupied by any **insured**, except while an **insured** is temporarily residing there;
 - (2) of watercraft, including their trailers, furnishings, equipment, and outboard motors;

(3) of trailers including their furnishings and equipment;

(4) of camper bodies, slide-on campers, or camper shells not permanently attached to a motor vehicle, including their furnishings and equipment.

10. FALLING OBJECTS.

We do not cover loss to personal property contained in a building unless the roof or an exterior wall of the building is first damaged by a falling object. We do not cover loss to the falling object itself.

11. WEIGHT OF ICE, SNOW, OR SLEET which causes damage to any property contained in a building.

12. SUDDEN AND ACCIDENTAL DISCHARGE OR OVERFLOW OF WATER OR STEAM from within:

- a. a plumbing system;
- b. a heating system;
- c. an air conditioning system;
- d. an automatic fire protective sprinkler system; or
- e. a household appliance.

We do not cover loss:

- a. caused by or resulting from freezing;
- b. to the appliance from which the water or steam escaped;
- c. on the **residence premises** caused by or resulting from accidental discharge or overflow which occurs off the **residence premises**.

For the purposes of this provision, a plumbing system does not include a sump, sump pump, or related equipment.

13. SUDDEN AND ACCIDENTAL TEARING APART, cracking, burning, or bulging of:

- a. a steam or hot water heating system;
- b. an air conditioning system;
- c. an automatic fire protective sprinkler system; or
- d. an appliance for heating water.

We do not cover loss caused by or resulting from freezing.

14. FREEZING of a plumbing, heating, air conditioning, or automatic fire protective sprinkler system, or of a household appliance.

We do not cover loss on the **residence premises**, while the dwelling is unoccupied and you have not used reasonable care:

- a. to maintain heat in the building; or
- b. to shut off the water supply and drain the system and appliances of water.

15. SUDDEN AND ACCIDENTAL DAMAGE from changes in the electric power supply to electrical appliances, devices, fixtures, and wiring.

16. FRAGMENTS OF BROKEN GLASS or safety glazing material which is a part of a building, storm door, or storm window.

We do not cover loss on the **residence premises** if the dwelling has been vacant for more than 60 days prior to the loss. For the purposes of this provision, a dwelling being constructed is not considered to be vacant.

17. VOLCANIC ERUPTION other than loss caused by earthquake, land shock waves, or tremors. One or more volcanic eruptions occurring within a 168-hour period shall be considered one volcanic eruption.

WHAT LOSSES ARE NOT COVERED – PART I

- 1. We do not cover any loss to property insured under COVERAGES A, B, or C that is caused by; resulting from; contributed to by; or consisting of the following exclusions. Such loss is excluded regardless of any other cause or event contributing concurrently or in any sequence to the loss.



These exclusions apply whether or not the loss or event occurs suddenly or gradually; involves isolated or widespread damage; arises from natural, man-made, or other forces; or occurs as a result of any combination of these.

a. EARTH MOVEMENT, meaning:

- (1) earthquake, including land shock waves or tremors before, during, or after a volcanic eruption;
- (2) landslide; mudflow; subsidence; mine subsidence; sinkhole; erosion; earth expanding; contracting; sinking; rising or shifting, all whether combined with water or not.

This exclusion applies regardless of whether the loss is caused by or results from human, animal, plant, or naturally occurring forces, or however caused.

We do cover direct physical loss by:

- (1) fire;
- (2) explosion;
- (3) breakage of glass or safety glazing material which is part of a covered building, storm door, or storm window;

resulting from earth movement.

b. BUILDING ORDINANCE OR LAW, meaning the enforcement, whether or not in connection with a physical loss to buildings or other structures covered under PART I, of any ordinance or law:

- (1) Requiring or regulating the demolition; construction; repair; reconstruction; remodeling; renovation; placement; stabilization; or use of property or other structures, unless specifically covered under provision 5. BUILDING ORDINANCE OR LAW of OTHER COVERAGES – PART I, or under provision 6. Glass Replacement of CONDITIONS – PART I.

For the purposes of section b.(1), loss means:

- (a) loss or damage caused directly or indirectly by the enforcement of any building ordinance or law;
 - (b) any additional cost of repair, reconstruction, demolition, or debris removal incurred to comply with any building ordinance or law.
- (2) Requiring or regulating the testing for, cleanup or removal of, or other specified treatment of **pollutants**.
 - (3) Requiring or regulating the **remediation** of mold, fungus, wet rot, dry rot, or bacteria, except as specifically covered under provision 12. MOLD, FUNGUS, WET ROT, DRY ROT, OR BACTERIA of OTHER COVERAGES – PART I.
 - (4) Resulting in a lessening of the value of any property insured under PART I.

We do cover direct physical loss caused by or resulting from the actions of civil authorities to prevent the spread of fire unless the fire itself is a loss not covered under PART I.

c. WATER DAMAGE, meaning:

- (1) flood; surface water; waves; tidal water; storm surge; tsunami; seiche; overflow of a body of water; or spray from any of these, whether or not driven by wind;
- (2) any liquid or semi-liquid material or substance that backs up through sewers or drains;
- (3) any liquid or semi-liquid material or substance which overflows or discharges from a sump, sump pump, or related equipment;
- (4) water below the surface of the ground, from any source whether natural or artificial, including water which exerts pressure on or seeps or leaks or flows through a building; sidewalk; driveway; foundation; swimming pool; spa; or other structure;
- (5) water which is released, overflows or escapes from a dam, levee, or other structure designed to contain surface water;

(6) damage to the interior of a building from rain, snow, or sleet, unless the wall or roof of the building has first sustained a loss from a cause of loss covered in PART I, that created an opening through which the rain, snow, or sleet entered;

caused by or resulting from human, animal, plant, or naturally occurring forces, or however caused.

We do cover direct physical loss by fire, explosion, or **theft** resulting from or occurring as a consequence of water damage.

d. NEGLECT, meaning neglect of the **insured** to take all reasonable steps to:

(1) save and preserve property at and after the time of a loss, or when the property is endangered by a cause of loss we cover; or

(2) eliminate or reduce any conditions on the **residence premises** that contributed to loss or caused damage in the past, whether or not an insurance claim was made.

e. WAR, including undeclared war; civil war; insurrection; rebellion; revolution; warlike act by a military force or military personnel; destruction or seizure or use for a military purpose; including any consequence of any of the above. Discharge of a nuclear weapon shall be deemed a warlike act even if it is by accident.

f. NUCLEAR HAZARD, including any:

(1) nuclear reaction;

(2) nuclear radiation; or

(3) radioactive contamination;

whether controlled or uncontrolled or however caused. This also includes any consequence of any of these. Loss by fire, explosion, or smoke caused by nuclear hazard will be considered nuclear hazard and will not be covered under PART I, except for direct loss by fire.

g. INTENTIONAL LOSS, meaning loss arising out of any act or omission committed by or at the direction of any **insured** with the intent to cause loss or damage.

h. INTERRUPTION OF POWER or other utility service if that interruption takes place away from the **residence premises**.

We do cover loss resulting from or occurring as a consequence of any power or utility service interruption if that resulting loss is covered under PART I and occurs on the **residence premises**.

i. COLLAPSE, unless specifically covered under provision 11. COLLAPSE OF A BUILDING OR ANY PART OF A BUILDING of OTHER COVERAGES – PART I.

j. MOLD, fungus, wet rot, dry rot, or bacteria, except as specifically covered under provision 12. MOLD, FUNGUS, WET ROT, DRY ROT, OR BACTERIA of OTHER COVERAGES – PART I. This exclusion does not apply to that part of covered property otherwise damaged by a water loss covered under PART – I, even if mold, fungus, wet rot, dry rot, or bacteria are present.

We do cover loss resulting from or occurring as a consequence of mold, fungus, wet rot, dry rot, or bacteria, if that resulting loss is caused by fire or lightning.

k. DAMPNESS of atmosphere, extremes of temperature.

l. DIMINUTION IN VALUE, meaning any perceived or actual lessening of the value of any property insured under PART I.

m. COSMETIC ROOF DAMAGE

We do not cover cosmetic loss or damage caused by or resulting from hail to metal, slate, or tile roofs.

Cosmetic loss or damage means only damage that alters the physical appearance of the roof but does not result in damage that allows the penetration of water through the roof covering or otherwise result in the failure of the roof covering to perform its intended function of keeping out the elements over an extended period of time.



However, we do cover physical loss or damage caused by or resulting from hail to metal, slate, or tile roofs that results in:

- (1) damage that allows the penetration of water through the roof covering; or
- (2) the failure of the roof covering to perform its intended function of keeping out the elements over an extended period of time.

n. **COSMETIC DAMAGE TO METAL ROOF COMPONENTS**

Regardless of roof type, we do not cover cosmetic loss or damage caused by or resulting from hail to metal roof components including, but not limited to, vents, vent caps, flashing, gutters, and downspouts.

Cosmetic loss or damage means only damage that alters the physical appearance of the metal roof components but does not result in damage that completely penetrates through the metal roof components or otherwise result in the failure of the metal roof components to perform their intended function.

However, we do cover physical loss or damage caused by or resulting from hail to metal roof components that results in:

- (1) damage that completely penetrates through the metal roof components; or
- (2) the failure of the metal roof components to perform their intended function.

o. **MATCHING OF UNDAMAGED PROPERTY**

In case of damage to property, we will not pay to repair or replace undamaged property due solely to:

- (1) mismatch of color between undamaged material and new material used to replace faded, weathered, or oxidized damaged material; or
- (2) mismatch between undamaged material and new material used to repair or replace damaged material due to outdated, obsolete, or discontinued products.

p. **WILDFIRE SMOKE**, except:

- (1) when the loss is a **wildfire smoke loss**; or
- (2) as specifically covered under provision 14. **WILDFIRE SMOKE** of OTHER COVERAGES – PART I; or
- (3) where covered property on the **residence premises** has sustained damage resulting from fire on the **residence premises**.

q. **ILLEGAL PLANTS AND MATERIALS**, meaning loss arising out of:

- (1) the illegal growing of plants; or
- (2) the illegal manufacturing, production, operation, handling, possession, or processing of chemical, biological, or plant materials.

Such loss is excluded whether by vandalism or any other cause and whether or not within the knowledge or control of the **insured**.

r. **CONTINUOUS OR REPEATED DISCHARGE OR SPRAY OF WATER** from an irrigation system.

2. We do not cover any loss to property insured under COVERAGES A or B that is caused by, resulting from, contributed to by, or consisting of the following exclusions. Such loss is excluded regardless of any other cause or event contributing concurrently or in any sequence to the loss. These exclusions apply whether or not the loss or event occurs suddenly or gradually; involves isolated or widespread damage; arises from natural, man-made, or other forces; or occurs as a result of any combination of these.

- a. (1) **FREEZING** of a plumbing system; a heating system; an air conditioning system; an automatic fire protective sprinkler system; or a household appliance;

(2) leakage, discharge, or overflow from within the system or appliance caused by freezing;

while the dwelling is vacant, unoccupied, or being constructed, and you have not used reasonable care to maintain heat in the building or shut off the water supply and drain the system and appliances of water.

b. FREEZING; thawing; pressure or weight of water or ice, whether driven by wind or not, to a:

(1) fence;

(2) driveway, walkway, or patio;

(3) spa, swimming pool, or pond;

(4) foundation, retaining wall, or bulkhead;

(5) pier, wharf, or dock.

c. **THEFT** in or to a dwelling under construction, or of materials and supplies for use in the construction, until the dwelling is completed and occupied.

d. VANDALISM, malicious mischief, or breakage of glass or safety glazing materials:

(1) committed by or at the direction of any roomer, boarder, tenant, renter, or resident of the **residence premises**; or

(2) if the dwelling has been vacant for more than 60 days prior to the loss. For the purposes of this provision, a dwelling being constructed is not considered vacant.

e. (1) WEAR AND TEAR, marring, deterioration, fading, oxidation;

(2) continuous or repeated seepage or leakage of water or steam from:

(a) within a plumbing, heating, air conditioning, or automatic fire protective sprinkler system, or from within a household appliance; or

(b) within or around any shower stall, shower bath, tub installation, sink, or other fixtures designed for use of water or steam;

(3) inherent vice, latent defect, or mechanical breakdown;

(4) smog, rust, corrosion, or other decay;

(5) smoke from agricultural smudging, industrial operations, or the manufacturing of any **drug**;

(6) presence, release, discharge, or dispersal of:

(a) **pollutants**;

(b) soil corrosives including, but not limited to, chemicals, compounds, elements, suspensions, gels, or crystals forming in the soil;

(7) cracking, shrinking, sagging, bulging, bending, expansion, or settling of:

(a) driveways, walkways, or patios;

(b) foundations, floors, walls;

(c) roofs; or

(d) ceilings;

(8) the expansion and/or contraction of concrete streets or other paved roadways, commonly referred to as street creep;

(9) birds, vermin, rodents, or insects;

(10) nesting, infestation, or discharge or release of waste products or secretions, by any animals;

(11) animals owned or kept by an **insured**; or

(12) growth of, or pressure from, the roots of trees, shrubs, or other plants.

If a loss excluded under e. above causes or results in sudden and accidental escape of water from a plumbing system; a heating system; an air conditioning system; an automatic fire



protective sprinkler system; or a household appliance and the loss is caused by water not otherwise excluded, we will cover the direct physical loss to covered property caused by the water, including the cost of tearing out and replacing any part of a building that is needed to repair the system or appliance. We do not cover a loss to the system or appliance from which this water escaped.

If a loss excluded under 2. above results in direct physical loss to property covered under PART I, we will cover that resulting loss if it is not itself excluded under PART I.

3. We do not cover any loss to property insured under COVERAGES A or B in which any of the events listed below cause or aggravate or contribute concurrently or in any sequence to a loss excluded under 1. or 2. above:

a. WEATHER CONDITIONS.

- b. ACTS OR DECISIONS, including the failure to act or decide, whether intentional or unintentional, or whether negligent, wrongful, or without fault, of any person, group, organization, or governmental body, whether an **insured** or not.

This provision does not apply to an **insured's** acts or decisions, including the failure to act or decide, excluded under provision 1., sections d. and g. above.

c. FAULTY, DEFECTIVE, OR INADEQUATE:

- (1) planning; zoning; development; surveying; or siting;
- (2) establishment or enforcement of building codes or standards for construction or materials;
- (3) design; specifications; construction; renovation; remodeling; repair; grading; compaction; or workmanship;
- (4) materials, parts, or equipment used in construction; renovation; remodeling; repair; grading; or compaction;
- (5) maintenance;

of part or all of any property whether on or off the **residence premises**.

This exclusion does not apply to the use of defective materials or methods for which coverage is afforded under section f. of provision 11. COLLAPSE OF A BUILDING OR ANY PART OF A BUILDING OF OTHER COVERAGES – PART I.

CONDITIONS – PART I

1. Insurable Interest

Even if more than one person has an insurable interest in the property covered under PART I, we shall not be liable in any one loss to any **insured** for an amount that is greater than that **insured's** interest at the time of loss.

A fire insurance policy, in case of a total loss by fire of property insured, shall be held and considered to be a liquidated demand against the company for the full amount of such policy. This provision does not apply to personal property.

2. Deductible – PART I

- a. We will pay only when the amount of a loss covered under PART I, or an expense covered under OTHER COVERAGES – PART I exceeds the amount of the deductible stated on the declarations page, and then we will pay only the amount exceeding the deductible.

(1) Windstorm, Hurricane, or Hail

The amount shown on the declarations page for the Windstorm, Hurricane, or Hail deductible will be deducted from the combined amount of each loss under PART I that results from windstorm, hurricane, or hail.

(2) All Other Perils

The amount shown on the declarations page for the All Other Perils deductible will be deducted from the combined amount of each loss under PART I, unless the loss results from a cause of loss to which provision 2.a.(1) above applies.

- b. The deductible shall apply to all losses except losses paid under the following provisions of OTHER COVERAGES – PART I:
 - 4. FIRE DEPARTMENT SERVICE CHARGE.
 - 7. REMOVAL OF PROPERTY.
 - 10. CREDIT CARD, FUND TRANSFER CARD, FORGERY, AND COUNTERFEIT MONEY.
 - 13. LOSS ASSESSMENT.
- 3. Your Duties After Loss

After a loss:

 - a. Notification must be given promptly to us and in the case of:
 - (1) **theft**, to the police;
 - (2) a loss under the CREDIT CARD or FUND TRANSFER CARD coverage, to the credit card or fund transfer card company;
 - (3) a windstorm, hurricane, or hail loss in the catastrophe area as defined under Texas law, you must notify us of your loss no later than 365 days after the date of loss unless the person filing the claim shows good cause as to why the claim was filed after the first anniversary of the date of loss;
 - (4) a **wildfire smoke loss** you must notify us of your loss no later than 60 calendar days following the extinguishment of the **wildfire**.
 - b. Any **insured** must:
 - (1) protect the property from further damage;
 - (2) take reasonable and necessary measures required to protect the property; and
 - (3) keep an accurate record of the cost of these measures.
 - c. Any **insured** must prepare an inventory of damaged or destroyed personal property, which shows in detail the quantity; description; date of acquisition; acquisition cost; fair market value; **replacement cost**; and **actual cash value**, as applicable to the property, and the amount of loss claimed. All of the bills, receipts, and related documents that prove the figures in the inventory must be attached to the inventory.
 - d. Any **insured** must as often as we reasonably require:
 - (1) make the damaged property available for our inspection;
 - (2) provide us with records and documents we ask for, and permit us to make copies;
 - (3) submit to recorded statements and examinations under oath, not in the presence of any other **insured**, and sign and return to us the transcript of such examinations. A parent or guardian may be present during any examination of a minor; and
 - (4) answer oral or written interrogatories.
 - e. You must, within 91 days after our request, submit to us your signed, sworn proof of loss providing us with:
 - (1) information on:
 - (a) the time and cause of loss;
 - (b) the interest of any **insured** and of all others in the property involved, and all liens on the property;
 - (c) other insurance that may cover the loss;
 - (d) changes in title; use; occupancy; location; possession of; or exposure to, the property during the term of the policy;
 - (e) specifications and plans of any damaged or destroyed building or fixture, detailed estimates for repair of the damage, and the amount of any encumbrances;



- (2) an inventory of damaged or destroyed personal property as described in c. above;
 - (3) receipts for additional living expenses incurred;
 - (4) evidence or sworn statements supporting a claim under the CREDIT CARD, FUND TRANSFER CARD, FORGERY, AND COUNTERFEIT MONEY coverage, stating the amount of the loss and the cause of the loss.
- f. All **insureds** must help us and cooperate with us in the investigation of any claim presented under this policy.
4. Loss Settlement and Limit of Liability
- a. We will settle covered losses to the following articles of personal property:
- (1) medals; coins; coin collections; and other numismatic property;
 - (2) stamps; stamp collections; and other philatelic property;
 - (3) antiques; fine arts; paintings; and other similar rare or antique articles;
 - (4) collectibles that derive their value from their desirability to collectors;
 - (5) memorabilia; souvenirs; collectibles, other than as defined in (4) above; and similar articles whose age or history contribute to their value;
 - (6) articles that are not maintained in good or workable condition;
 - (7) articles that are outdated or obsolete;
- for the lowest of the following at the time of the loss:
- (1) the fair market value of the lost or damaged property;
 - (2) the cost to repair the damaged property;
 - (3) the cost to replace the lost or damaged property with property of the same kind, of reasonably similar quality and usefulness, and in the same condition;
 - (4) the limit of liability of the lost or damaged property that applies.
- b. We will settle covered losses to:
- (1) personal property, other than jewelry and as described under a. above;
 - (2) awnings; wall-to-wall carpeting; household appliances; outdoor equipment; and outdoor antennas, whether or not it is attached or otherwise connected to buildings;
- for the lowest of the following at the time of the loss:
- (a) the **actual cash value**, but not less than the fair market value of the lost or damaged property;
 - (b) the cost to repair the damaged property;
 - (c) the cost to replace the lost or damaged property with property of the same kind, of reasonably similar quality and usefulness, and in the same condition;
 - (d) the limit of liability that applies to the lost or damaged property;
- (3) jewelry for the **replacement cost** at the time of the loss.
- c. We will settle covered losses to structures that are not buildings for the lower of:
- (1) the **actual cash value**, but not less than the fair market value at the time of the loss, of the damaged or destroyed part of the structure;
 - (2) the limit of liability that is stated on the declarations page for COVERAGE B.
- d. We will settle covered losses to buildings as follows:
- (1) If the amount of a covered loss does not exceed \$5,000, we may, at our option, pay the **replacement cost** of the damaged or destroyed part of the building before the repair or replacement is made.

(2) If the loss is not subject to payment under (1) above, and:

(a) If you elect not to repair or replace, we will settle for the lower of:

- i. the **actual cash value**, but not less than the fair market value at the time of the loss, of the damaged or destroyed part of the building;
- ii. the limit of liability stated on the declarations page for COVERAGE A for loss to the dwelling, or for COVERAGE B for loss to other buildings.

(b) If you elect to repair or replace, we will settle for the lower of:

- i. the **actual cash value**;
- ii. the limit of liability stated on the declarations page for COVERAGE A for loss to the dwelling, or for COVERAGE B for loss to other buildings;

until the repair or replacement has been completed as required.

After repair or replacement is completed as required, we will settle on a **replacement cost** basis for any added cost you actually and necessarily incurred to repair or replace the damaged or destroyed part of the building, not to exceed the amount of the limit of liability stated on the declarations page:

- i. for COVERAGE A for loss to the dwelling; or
- ii. for COVERAGE B for loss to other buildings.

Repair or replacement is considered completed as required if it was started no more than 365 days after the date of the initial settlement under this provision, and it was finished during the 18 months that follow.

Any loss claimed under (b) above that becomes ineligible for **replacement cost** settlement because the repair or replacement was not finished as required will be settled as described under (a) above.

e. Extended Replacement Cost

If you have:

- (1) insured the dwelling to 100% of its **replacement cost**;
- (2) accepted all changes in the valuation of covered property we believed were needed; and
- (3) notified us within 30 days before completion of any remodeling of or addition to the dwelling covered under COVERAGE A that will increase the cost to replace the dwelling covered under COVERAGE A by \$15,000 or more;

we will provide additional insurance, subject to a maximum cap not to exceed 110% of the limit of liability stated on the declarations page for COVERAGE A, for any loss where you have elected to repair or replace the dwelling after a covered loss with similar construction based on contemporary methods and materials of like kind and quality.

This Extended Replacement Cost coverage applies only to COVERAGE A – DWELLING and does not increase or otherwise affect coverage provided under COVERAGE B – OTHER STRUCTURES, COVERAGE C – PERSONAL PROPERTY, or any other coverages stated in the policy as a percentage of the limit of liability for COVERAGE A, B, or C.

This Extended Replacement Cost coverage does not apply to:

- (1) Land, including land on which the dwelling is located.
- (2) A building under construction, including any building that is being renovated or remodeled.
- (3) Losses caused by earthquake, even if earthquake coverage is provided by an optional endorsement under this policy.

Our limit of liability for loss to any property insured under PART I shall not be increased because there is more than one person that has an insurable interest in the property.



5. Loss to a Pair or Set

- a. In case of loss to a pair or set, other than jewelry, we may elect to:
 - (1) repair or replace any part to restore the pair or set to its value before the loss; or
 - (2) pay the difference between the value established for the property under provision 4. Loss Settlement and Limit of Liability above before and after the loss.
- b. Loss to a jewelry pair or set will be settled for the **replacement cost** at the time of the loss.

6. Glass Replacement

We will replace glass that is damaged in a loss covered under PART I with safety glazing material when required by an ordinance or a law.

7. Appraisal

If you and we fail to agree on the amount of a covered loss, either one of us can make a written request that the amount of loss be set by an appraisal. If either you or we make a written request for an appraisal, each of us shall:

- a. select a competent, independent appraiser; and
- b. notify the other of the appraiser's identity within 20 days of receipt of the request.

The two appraisers shall then select a competent, impartial umpire. The two appraisers have 15 days to agree upon an umpire. If they cannot agree upon an umpire within 15 days, you or we may make a request to a judge of the court, of the state in which the covered property is located, to select an umpire.

The appraisers shall then set the amount of the loss in an itemized report, stating separately the **actual cash value**, **replacement cost**, and if applicable, the market value of each item in dispute. If the appraisers submit a written report of an agreement to us, the amount that is agreed upon shall be the amount of the loss. If the appraisers fail to agree within a reasonable time, they shall submit their differences to the umpire. A written award that is signed by any two of these three set the amount of the loss.

Each appraiser shall be paid by the party that chose them. Other expenses of the appraisal and the payment of the umpire shall be paid equally by you and us.

8. Other Insurance

If there is other applicable insurance for a loss covered under PART I, we will pay only our share of the loss. Our share is the proportion that the limit of liability applicable under PART I bears to the total amount of insurance covering the loss.

9. Suits Against Us

No suit or action can be brought unless:

- a. the policy provisions have been complied with;
- b. except as provided in provision c. below, suit or action brought against us is started within two years and one day after the cause of action first accrues; and
- c. with respect to a loss caused by windstorm, hurricane, or hail in the catastrophe area as defined under Texas law, suit or action brought against us must be started from the earlier of:
 - (1) two years and one day from the date we accept or reject the claim; or
 - (2) three years and one day from the date of the loss that is the subject of the claim.

10. Our Option

At our option, we may:

- a. Take part or all of the covered damaged property at the agreed or appraised value.
- b. Repair or rebuild or replace covered damaged or destroyed property with property of like or reasonably similar kind and quality.

We will notify you of our intent, in writing, within 30 days after we receive your signed, sworn proof of loss.

11. Loss Payment

We will pay you unless another payee:

- a. is named in the policy; or
- b. is legally entitled to receive payment.

Loss is payable within 5 **business days** after:

- a. we reach agreement with you;
- b. an appraisal award is filed with us; or
- c. a final judgment is entered.

If we notify you that we will pay your claim, or part of your claim, we must pay within 5 **business days** after we notify you.

If payment of your claim or part of your claim requires the performance of an act by you, we must pay within 5 **business days** after the date you perform the act.

12. Abandonment of Property

We do not have to accept any property abandoned by any **insured**.

13. Mortgage Clause

The word "mortgagee" includes trustee.

If a mortgagee is named in this policy, any loss payable under COVERAGE A or COVERAGE B shall be paid to the mortgagee and you, as the interests appear. If more than one mortgagee is named, the order of payment shall be the same as the order of precedence of the mortgages.

If we deny your claim, that denial shall not apply to a valid, covered claim of the mortgagee if the mortgagee:

- a. notifies us of any change in ownership; in occupancy; or that creates a substantial change in risk, of which the mortgagee is aware including any and all foreclosure proceedings involving the **residence premises**;
- b. pays any premium due under this policy on demand if you have neglected to pay the premium; and
- c. submits a signed, sworn proof of loss within 91 days after we notify the mortgagee of your failure to submit the required proof of loss.

Policy conditions relating to:

- a. Appraisal;
- b. Suits Against Us; and
- c. Loss Payment;

apply to the mortgagee.

The mortgagee will be notified at least:

- a. 10 days before a cancellation; or
- b. 30 days before a nonrenewal by us;

will take effect.

If a loss listed below is made payable, in whole or in part, to a designated mortgagee and the payment was not made to the named insured, such interest in this policy may be cancelled by giving to the mortgagee a 10 day written notice of cancellation.

If we pay the mortgagee for any loss and deny payment to you:



- a. we are subrogated to all the rights of the mortgagee granted under the mortgage on the property so we may recover such payment from you; or
- b. at our option, we may pay to the mortgagee the lesser of the principal and interest due on the note on the date of loss or the amount payable under Condition 4. Loss Settlement and Limit of Liability; or
- c. we may pay to the mortgagee the whole principal on the mortgage plus any accrued interest. In this event, we shall receive a full assignment and transfer of the mortgage and all securities held as collateral to the mortgage debt.

Subrogation shall not impair the right of the mortgagee to recover the full amount of their claim.

If the property described under COVERAGE A – DWELLING is foreclosed upon under the deed of trust, the mortgagee may cancel this policy of insurance and will be entitled to any unearned premiums from this policy.

The mortgagee must credit any unearned premium against any deficiency owed by the borrower and return any unearned premium not so credited to the borrower. The unearned premium will be figured using the customary pro rata procedures.

If we claim that no liability existed as to the mortgagor or owner, we shall, to the extent of payment of loss to the mortgagee, be subrogated to all the mortgagee's rights of recovery, but without impairing mortgagee's right to sue.

14. No Benefit to Bailee

This insurance shall not in any way benefit any person or organization who may be:

- a. holding;
 - b. storing; or
 - c. transporting;
- property for a fee.

15. Recovered Property

If you or we recover any property for which we have made payment under this policy, you or we will notify the other of the recovery. At your option, the property will be returned to or retained by you or it will become our property. If the recovered property is returned to or retained by you, our loss payment will be adjusted based on the amount of the payment we made for the recovered property.

16. Your Duty to Select and Maintain Policy Limits

At each policy renewal date, the amount of the limit of liability stated on the declarations page for COVERAGE A may be adjusted, by us, to account for:

- a. inflation;
- b. current building costs;
- c. changes in the cost of items of property; and
- d. other factors.

Any adjustment in the amount of the limit of liability for COVERAGE A will result in proportionate adjustments to the limits of liability for:

- a. COVERAGE B;
- b. COVERAGE C; and
- c. those OTHER COVERAGES – PART I for which the limits of liability are a percentage of the COVERAGE A limit.

It is your duty to select and maintain adequate amounts of insurance.

Any adjustment in the limits of liability listed above do not, in any way, represent, warrant, or guarantee that these adjustments will accurately account for inflation or that the amounts of coverage are adequate to repair or replace the damaged or destroyed property.

17. Our Right to Inspect

We reserve the right to conduct inspections of your **residence premises** upon reasonable notice as often as we deem reasonably necessary. We may conduct inspections to determine insurability and the premiums to be charged. You must permit inspections and cooperate with us during the inspection process.

18. Your Duty to Notify Us of Increase in Value

You must notify us within 30 calendar days before completion of:

- a. the remodeling of or any addition to the dwelling covered under COVERAGE A; or
- b. the construction of new buildings or remodeling of or addition to existing buildings covered under COVERAGE B;

that will increase the cost to replace the buildings covered under COVERAGE A and COVERAGE B by \$15,000 or more.

19. Residential Community Property Clause

It is understood and agreed that this policy, subject to all other terms and conditions contained in this policy, when covering residential community property, as defined by state law, shall remain in full force and effect as to the interest of each spouse covered, irrespective of divorce or change of ownership between the spouses unless excluded by endorsement attached to this policy until the expiration of the policy or until cancelled in accordance with the terms and conditions of this policy.

20. Catastrophe Claims

If a claim results from a weather related catastrophe or a major natural disaster, each claim handling deadline shown under the Your Duties After Loss, Loss Payment, and Our Duties After Loss provisions is extended for an additional 15 days.

Catastrophe or Major Natural Disaster means a weather related event which is determined to be a catastrophe by the Texas Department of Insurance.

21. Salvage Rights

If we notify you that we will pay your claim or part of your claim, the notice must also state whether we will or will not take all or any part of the damaged property. We must bear the expense of our salvage rights.

22. Our Duties After Loss

- a. Within 15 days after we receive your written notice of claim, we must:

- (1) acknowledge receipt of the claim.

If our acknowledgement of the claim is not in writing, we will keep a record of the date, method and content of our acknowledgement.

- (2) begin any investigation of the claim.

- (3) specify the information you must provide in accordance with provision 3. Your Duties After Loss of CONDITIONS – PART I.

We may request more information, if during the investigation of the claim such additional information is necessary.

- b. After we receive the information we request, we must notify you in writing whether the claim will be paid or has been denied or whether more information is needed:

- (1) within 15 **business days**; or

- (2) within 30 days if we have reason to believe the loss resulted from arson.

- c. If we do not approve payment of your claim or require more time for processing your claim, we must:

- (1) give the reasons for denying your claim; or

- (2) give the reasons we require more time to process your claim. But, we must either approve or deny your claim within 45 days after requesting more time.



PART II – LIABILITY COVERAGES

COVERAGE D – PERSONAL LIABILITY

COVERAGE E – MEDICAL PAYMENTS TO OTHERS

WHAT LOSSES ARE COVERED – COVERAGE D

1. We will pay for damages that any **insured** is legally liable to pay due to:
 - a. **bodily injury** or **property damage** caused by an **occurrence** to which this coverage applies;
 - b. **personal injury** to which this coverage applies.

Damages do not include criminal fines, penalties, or restitution orders.

2. We will defend any suit claiming damages for **bodily injury**, **property damage**, or **personal injury** to which this coverage applies. We will defend a suit even if the allegations are groundless, false, or fraudulent. Defense lawyers will be hired by us. If any **insured** retains a lawyer for any claim, whether or not covered under this coverage, we will not pay the fees and costs charged by that lawyer. Our duty to defend ends when the amount we pay for damages resulting from one **occurrence** equals our limit of liability. We have no duty to defend any **insured** in any criminal action or proceeding in which the recovery of a fine, penalty, or restitution is sought.
3. We may settle any claim or suit as we think proper.

WHAT LOSSES ARE COVERED – COVERAGE E

We will pay reasonable expenses that are actually incurred for necessary medical and funeral services because of **bodily injury** sustained as a result of an accident to which this coverage applies. We will pay only for expenses actually incurred within 3 years from the accident date.

This coverage applies to:

1. persons on an **insured location** with the permission of any **insured**;
2. persons off an **insured location** if the **bodily injury**:
 - a. arises out of a condition on an **insured location** or the ways immediately adjoining;
 - b. is caused by the activities of any **insured**;
 - c. is caused by a **residence employee** in the course of that **residence employee's** employment by any **insured**; or
 - d. is caused by an animal owned by or in the care or custody of any **insured**, except any animal that is excluded under 1.o. of WHAT LOSSES ARE NOT COVERED – PART II.

WHAT LOSSES ARE NOT COVERED – PART II

1. Under COVERAGES D and E we do not cover:
 - a. **Bodily injury** or **property damage** arising out of:
 - (1) Acts or omissions committed by or at the direction of any **insured** with the intent to produce **bodily injury** or **property damage** of any kind and in any degree.
 - (2) Intentional acts or omissions committed by or at the direction of any **insured**, in which the **bodily injury** or **property damage** is reasonably expected or intended by the **insured**, even if the resulting **bodily injury** or **property damage**:
 - (a) is of a different kind, quality, or degree than initially expected or intended; or
 - (b) is sustained by a different person, entity, or property than initially expected or intended.
 - (3) Criminal acts or omissions committed by or at the direction of any **insured**, in which the **bodily injury** or **property damage** is caused by or resulting from the criminal act or omission and intended by the **insured**. This exclusion applies whether or not the insured is charged with or convicted of a crime.

- (4) Acts or omissions committed by or at the direction of any **insured** as a result of the use, sale, manufacture, distribution, delivery, transfer, or possession by any **insured**, of any **drug**.

This exclusion does not apply to the legitimate use of any **drug** that is:

- (a) legally dispensed in the USA; and
- (b) taken under the order of and in compliance with the instructions of a doctor licensed in the USA.

- b. **Bodily injury or property damage** arising out of any premises other than an **insured location** owned by, rented to, or leased to any **insured**.
- c. **Bodily injury or property damage** arising out of or in connection with:
 - (1) The operation of a family day care home.
 - (2) Any other **business** of any **insured**.

This exclusion does not apply:

- (a) to the renting, leasing, or holding for rental or lease of the **residence premises** in whole or in part:
 - i. not to exceed 21 days of occupancy during any one policy period; and
 - ii. for use only as a residence;
 - (b) to the renting, leasing, or holding for rental or lease of a residence of yours in part, for use as a residence by no more than two roomers or boarders who are regular residents;
 - (c) to the renting, leasing, or holding for rental or lease for use as a residence of that part of your dwelling on the **residence premises** that you do not occupy. This applies only if the dwelling is a two family dwelling.
- d. **Bodily injury or property damage** arising out of the rendering of or failing to render professional services.
- e. **Bodily injury or property damage** arising out of the growing; farming; manufacture; sale; delivery; or transfer, of any **drug** or ingredient used for the purpose of making a **drug**, by any **insured**.
- f. **Bodily injury or property damage** arising out of the ownership, maintenance, use, loading, or unloading of motor vehicles or any other motorized land conveyances, including trailers of any type. This exclusion does not apply to:
 - (1) trailers not towed by, attached to, or carried on motor vehicles or other motorized land conveyances;
 - (2) motor vehicles or other motorized land conveyances that are:
 - (a) designed to assist and are used by the physically disabled only if they are:
 - i. not subject to motor vehicle registration; and
 - ii. not designed, constructed, or altered for travel on public roads;
 - (b) stored on an **insured location** and are not operable;
 - (c) used only on an **insured location**;
 - (d) designed for recreational use off public roads, and are not subject to motor vehicle registration, and are not owned by any **insured**;
 - (e) motorized golf carts that are not required to be licensed for highway use;
 - (f) electric bicycles that are not subject to vehicle registration, that provide assistance when the rider is pedaling, and are not built or modified to exceed 28 miles per hour.
- g. **Bodily injury or property damage** arising out of the ownership, maintenance, use, loading, or unloading of watercraft:
 - (1) exceeding 26 feet 5 inches in total length;



- (2) powered by any inboard, jet-drive, or inboard/outboard motor, and owned by or leased to any **insured**;
- (3) powered by any inboard, jet-drive, or inboard/outboard motor exceeding 50 horsepower, and rented to any **insured**; or
- (4) powered by one or more outboard motors with a total of 25 or more horsepower, and owned by or leased to any **insured**.

This exclusion does not apply while the watercraft is on an **insured location** or stored on land elsewhere.

- h. **Bodily injury or property damage** arising out of the ownership; maintenance; use; loading; or unloading, of **aircraft**.

This exclusion does not apply to model **aircraft** of the hobby variety (including airplanes, helicopters, or drones) not used or designed to carry people or cargo.

However, we do not cover **bodily injury or property damage** arising out of the ownership, maintenance, or use of a model **aircraft** of the hobby variety (including airplanes, helicopters, or drones) that:

- (1) interferes with or results in a collision with any **aircraft**;
- (2) interferes with the rendering of any emergency services or the duties of any firefighter, law enforcement, or emergency personnel; or
- (3) violates any federal, state, or local law, ordinance, or regulation.

- i. **Bodily injury or property damage** arising out of any **insured's**:

- (1) entrustment to any other person;
 - (2) vicarious parental liability, whether or not imposed by statute, for the actions of a child or minor relating to the operation, maintenance, loading, or unloading; or
 - (3) supervision of any other person in the operation, maintenance, loading, or unloading;
- of motor vehicles or any other motorized land conveyances, including trailers of any type, or of any watercraft or **aircraft** for which liability is excluded under PART II.

- j. **Bodily injury or property damage** caused directly or indirectly by war, including undeclared war; civil war; insurrection; rebellion; revolution; warlike act by a military force or military personnel; destruction, seizure, or use for a military purpose; or discharge of a nuclear weapon, even if it is an accident. This includes any consequence of any of these.

- k. **Bodily injury or property damage** arising out of, in connection with, aggravated by, or consisting of **pollutants**.

- l. **Bodily injury** arising out of the transmission by any **insured** of any disease or of any organisms or agents capable of causing such disease, through:

- (1) personal physical contact of any **insured** with any other person; or
- (2) the transmission of any **insured's** body fluids to any other person.

- m. **Bodily injury** arising out of actual, alleged, or threatened:

- (1) sexual misconduct including, but not limited to, sexual harassment, sexual abuse, and sexual molestation;
- (2) corporal punishment; or
- (3) physical, emotional, or mental abuse.

For purposes of this exclusion, abuse means an act which is committed with the intent to cause harm.

- n. **Bodily injury or property damage** arising out of, in connection with, aggravated by, or consisting of mold, fungus, wet rot, dry rot, or bacteria.

- o. **Bodily injury or property damage** arising out of the ownership of, custody of, or care for the following pure or mixed breed or pure or mixed type of dogs:

- (1) Any pit bull type of dog (including, but not limited to, American Pit Bull Terrier, American Staffordshire Terrier, Staffordshire Bull Terrier, Bull Terrier, Miniature Bull Terrier, American Bulldog, Dogo Argentino, Alapaha Blue Blood Bulldog, or Alpha Blue Bulldog);
 - (2) Rottweiler;
 - (3) Akita (including, but not limited to, American Akita, Japanese Akita, or Akita Inu); or
 - (4) Canary Dog (including, but not limited to, Presa Canario or Perro de Presa Canario).
- p. **Bodily injury** or **property damage** arising out of failure to supervise or the negligent supervision of a person that results in one or more of the excluded events in e., l., and m. above.
- q. **Bodily injury** or **property damage** arising out of the:
- (1) growing, harvesting, or processing of any cannabis plants; or
 - (2) extraction or processing of any cannabis derivatives;
- even if legal in your state or locality.
2. Under COVERAGE D we do not cover:
- a. **Bodily injury** to you and the residents of your household listed below:
 - (1) Your relatives by blood, marriage, or adoption.
 - (2) Any other person under the age of 21 who is in the care of you or any person included under a.(1) above.
 - b. **Bodily injury** to any person when the ultimate benefits of indemnification would accrue directly or indirectly to you or the residents of your household listed below:
 - (1) Your relatives by blood, marriage, or adoption.
 - (2) Any other person under the age of 21 who is in the care of you or any person included under b.(1) above.
 - c. **Bodily injury** or **property damage** if any insurance is or can be afforded under a nuclear energy liability policy.
 - d. **Bodily injury** to any person who qualifies to receive any benefits required to be provided or voluntarily provided by any **insured** under any:
 - (1) workers' compensation law;
 - (2) non-occupational disability law; or
 - (3) occupational disease law.
 - e. **Property damage** to property owned by any **insured** or any other resident of your household.
 - f. **Property damage** to property:
 - (1) rented or leased to;
 - (2) occupied or used by; or
 - (3) in the care, custody, or control of;

any **insured**, unless the **property damage** is caused by fire, smoke, or explosion.
 - g. Liability:
 - (1) For any loss assessment charged against you as a member of an association, corporation, or community of property owners unless specifically covered under provision 3. of ADDITIONAL PAYMENTS – PART II.
 - (2) Under any contract or agreement.

We do cover liability for written contracts that directly relate to the ownership, maintenance, or use of an **insured location** unless excluded in (1) above or elsewhere in this policy.

 - (3) Arising out of the sale or transfer of real property including, but not limited to, the following:
 - (a) known or unknown property or structural defects;



- (b) known or hidden defects in the plumbing, heating, and electrical systems;
- (c) known or unknown soil conditions or drainage problems; or
- (d) concealment or misrepresentation of any known defects.
- h. **Bodily injury** that results from emotional distress arising out of economic loss including, but not limited to, contractual or employment-related disputes.
- i. **Bodily injury** or **property damage** arising out of **bullying**, **cyberbullying**, or **aggression**.
- j. **Personal injury**:
 - (1) To you and the residents of your household listed below:
 - (a) Your relatives by blood, marriage, or adoption.
 - (b) Any other person under the age of 21 who is in the care of you or any person included under (a) above.
 - (2) Sustained by any person as a result of an act directly or indirectly related to that person's selection for, engagement in, or termination of employment by any **insured**.
 - (3) Arising out of:
 - (a) criminal acts committed by or at the direction of any **insured**, in which the **bodily injury** or **property damage** is caused by or resulting from the criminal act, and intended by the **insured**;
 - (b) any publication or utterance made by, at the direction of, or with the consent of any **insured** having knowledge of its falsity or reason to believe that it was false;
 - (c) the rendering or failing to render professional services;
 - (d) advertising, publishing, broadcasting, or telecasting activities conducted by or on behalf of any **insured**;
 - (e) civic or public activities performed for pay by any **insured**;
 - (f) any **insured's** activities:
 - i. as an officer, director, trustee, or agent of the United States Government, or of any state, county, school district, or any other political subdivision; or
 - ii. as a candidate for public office; or
 - iii. on behalf of a candidate for public office.
 - (4) Arising out of or in connection with the **business** of any **insured**.
 - (5) Arising out of or in connection with sexual misconduct including, but not limited to, sexual abuse and sexual molestation. For purposes of this exclusion, abuse means an act which is committed with the intent to cause harm.
 - (6) Arising out of any communication, publication, or posting by means of the internet, worldwide web, applications, or any local intranet.
 - (7) Arising out of the ownership, maintenance, use, loading, or unloading of **aircraft**.
 - (8) Arising out of **bullying**, **cyberbullying**, or **aggression**.
- k. Liability for punitive or exemplary damages. However, if the underlying claim is covered under COVERAGE D, we will defend suit alleging such damages. Defense lawyers will be hired by us. If any **insured** retains a lawyer in any such suit, we will not pay for the fees and costs charged by that lawyer. Our duty to defend ends when:
 - (1) the amount we pay for covered nonpunitive damages equals our limit of liability; or
 - (2) all claims for covered nonpunitive damages have been resolved by judgments or settlements;whichever comes first.

3. Under COVERAGE E we do not cover **bodily injury**:
- a. To you or any roomer, boarder, tenant, renter, or resident of an **insured location**, except **residence employees**.
 - b. To **residence employees** if the **bodily injury** occurs off an **insured location** and does not arise out of and in the course of the **residence employee's** employment by any **insured**.
 - c. To any person who is eligible to receive any benefits that are required to be provided or voluntarily provided under any:
 - (1) workers' compensation law;
 - (2) non-occupational disability law; or
 - (3) occupational disease law.
 - d. From any:
 - (1) nuclear reaction;
 - (2) nuclear radiation; or
 - (3) radioactive contamination;all whether controlled or uncontrolled or however caused, or from any consequence of any of these.

ADDITIONAL PAYMENTS – PART II

In addition to the limits of liability, we will pay:

1. CLAIM EXPENSES

We will pay:

- a. All settlement and defense costs we incur.
- b. Interest on damages covered under COVERAGE D on that portion of a judgment that is within our limit of liability, except:
 - (1) if we offer to pay our limit of liability before judgment, we will not pay interest thereafter;
 - (2) if a judgment is rendered, we will not pay interest after our limit of liability has been paid or deposited in court.
- c. Up to \$200 a day for earnings an **insured** actually loses due to attendance at hearings or trials at our request.
- d. Other reasonable expenses an **insured** actually incurs at our request.
- e. Premiums on appeal bonds or attachment bonds required in any suit we defend. We will not pay the premium for:
 - (1) any bond in excess of the limits of liability;
 - (2) an appeal bond for that portion of a judgment that is not covered under COVERAGE D.

We will pay for but we will not apply for or furnish any such bonds.

2. DAMAGE TO PROPERTY OF OTHERS

We will pay on a **replacement cost** basis up to \$2,500 per **occurrence** for **property damage** to property of others if that damage is caused by any **insured**.

We will not pay for **property damage**:

- a. To the extent of any amount recoverable under PART I of this policy.
- b. Caused intentionally by any **insured** age 13 or older.
- c. To property owned by, rented to, or leased to any **insured**, roomer, boarder, resident of your household, or to a tenant of any **insured**.
- d. Arising out of or in connection with any **insured's business**.



- e. Arising out of any acts or omissions in connection with a premises, other than an **insured location**, that is owned by, controlled by, rented to, or leased to any **insured**.
- f. Arising out of the ownership, maintenance, use, loading, or unloading of any vehicle. This includes motorized land conveyances, trailers, watercraft, or **aircraft**, of any type.

This exclusion does not apply to motor vehicles or other motorized land conveyances designed for recreational use off public roads, not subject to motor vehicle registration, and not owned by any **insured**.

- g. Arising out of any **insured's**:
 - (1) entrustment to any other person; or
 - (2) vicarious parental liability, whether or not imposed by statute, for the actions of a child or minor relating to the maintenance, use, loading, or unloading; or
 - (3) supervision of any person in the maintenance, use, loading, or unloading; of any vehicle. This includes motorized land conveyances; trailers; watercraft; or **aircraft**, of any type.
- h. Arising out of the ownership of, custody of, or the care for the following pure or mixed breed or pure or mixed type of dogs:
 - (1) Any pit bull type of dog (including, but not limited to, American Pit Bull Terrier, American Staffordshire Terrier, Staffordshire Bull Terrier, Bull Terrier, Miniature Bull Terrier, American Bulldog, Dogo Argentino, Alapaha Blue Blood Bulldog, or Alpha Blue Bulldog);
 - (2) Rottweiler;
 - (3) Akita (including, but not limited to, American Akita, Japanese Akita, or Akita Inu); or
 - (4) Canary Dog (including, but not limited to, Presa Canario or Perro de Presa Canario).

We have no duty to defend any **insured** for loss arising out of property damage to property of others.

3. LOSS ASSESSMENT

We will pay any loss assessment that is charged, during the policy period, against you as a member of the association, corporation, or community of property owners of the **insured location**.

We will pay provided the assessment is made as a result of **bodily injury** or **property damage** caused by an **occurrence** covered under PART II – LIABILITY COVERAGES.

The following special conditions apply to this provision:

- a. We will pay up to \$2,000 for any loss under this provision.
- b. We will pay up to \$2,000 per location for each covered assessment that is made as a result of the deductible in the insurance purchased by the association, corporation, or community of property owners. This amount may not be increased, regardless of any other similar coverage provided under this policy.
- c. We do not cover assessments charged against you or any association, corporation, or community of property owners by any body of government.

CONDITIONS – PART II

1. Limit of Liability

Regardless of the number of **insureds**, persons injured, persons or organizations who sustain **personal injury**, claims made, or suits brought, the limit of liability shown on the declarations page for:

- a. COVERAGE D is the most we will pay for:
 - (1) **bodily injury** and **property damage** resulting from any one **occurrence**;
Bodily injury to one person includes damages for care, loss of consortium, and loss of services sustained as the result of the same injuries by the injured person and any other person.

If an **insured** has been insured for more than one policy period under this or any other homeowners policy issued by us and an accident, including continuous or repeated harmful exposure to basically the same conditions, results in **bodily injury** or **property damage** during more than one of these policy periods, the limits of liability of two or more of these policy periods may not be added together, combined, or stacked to increase the coverage for this **bodily injury** or **property damage**.

(2) **personal injury**:

- (a) for all damages related to, arising out of or in connection with, or resulting from any one act that first gave rise to the claim under this coverage, regardless of the policy period during which that act occurred; and
 - (b) per policy period for all **personal injury** during that policy period;
- in the aggregate.

We will not pay any claims for **bodily injury**, **property damage**, or **personal injury** after we have paid the amount of the applicable limit of liability.

- b. COVERAGE E is the most we will pay for all medical expenses due to **bodily injury** to one person as the result of any one accident.

2. Duties After Loss

- a. In the event of accident, **occurrence**, or **personal injury**, we must be notified promptly and informed of the date; time; place; and circumstances, of the accident, **occurrence**, or **personal injury**, including the names and addresses of persons involved, injured persons, and witnesses.
- b. In case of a claim or suit against any **insured**, any legal papers that are received by any **insured** must be sent to us promptly.
- c. Any **insured** shall cooperate with us while we investigate the claim and shall, at our request:
 - (1) go to depositions, hearings, and trials;
 - (2) assist in the making of settlements; securing and giving of evidence; obtaining the attendance of witnesses; and the conduct of suits;
 - (3) submit to recorded statements and examinations under oath. A parent or guardian may be present during any examination of a minor;
 - (4) authorize us to obtain any records we reasonably require to investigate any claim.
- d. **Insureds** shall not, except at their own cost, of their own accord:
 - (1) make any payment or assume any obligation;
 - (2) incur any expense at the time of **bodily injury**.
- e. Under provision 2. DAMAGE TO PROPERTY OF OTHERS of ADDITIONAL PAYMENTS – PART II, an **insured** shall, within 91 days after the loss:
 - (1) give us a sworn statement of loss; and
 - (2) make the damaged property available for our inspection, if the property is within the **insured's** control.

3. Duties of an Injured Person – COVERAGE E

- a. Any injured person, or someone acting on behalf of the injured person, shall:
 - (1) promptly give us written proof of any claim and any further information asked for by us, under oath if required;
 - (2) execute authorizations to allow us to obtain copies of medical reports and records.
- b. Any injured person shall, when and as often as we reasonably require, submit to physical exams by doctors we choose.



4. Payment of Claim – COVERAGE E

We may pay the injured person or any person or organization rendering services. Payment by us shall reduce the amount we owe. Payment by us is not an admission:

- a. of liability by us or by any **insured**;
- b. that the medical expenses were reasonable or necessary or otherwise covered under PART II.

5. Suits Against Us

We may not be sued until all terms of this policy have been fully complied with. In addition, under COVERAGE D, legal action may not be brought against us until the duty to pay, by any **insured**, is finally determined either by:

- a. judgment against the **insured** after actual trial; or
- b. written agreement of the **insured**, the claimant, and us.

No one has the right to bring us into a suit to determine the liability of any **insured**.

6. Other Insurance – COVERAGE D

This insurance is excess over any other valid and collectible insurance.

This provision does not apply to other insurance written as excess over the limits of liability of this policy.

7. Notice of Settlement of Liability Claim

- a. We will notify the **insured** in writing of any initial offer to compromise or settle a claim against the **insured** under the liability section of this policy. We will give the **insured** notice within 10 days after the date the offer is made.
- b. We will notify the **insured** in writing of any settlement of a claim against the **insured** under the liability section of this policy. We will give the **insured** notice within 30 days after the date of the settlement.

PART III – GENERAL PROVISIONS

BANKRUPTCY

The bankruptcy or insolvency of any **insured** shall not relieve us of any obligations under this policy.

CHANGES AND LIBERALIZATION

This policy may not be changed unless we authorize and agree upon the change. We will mail or deliver a written endorsement reflecting the change. Mailing or delivery by us to the named insured on the declarations page at the last address on record shall constitute proof of endorsement or notice.

If we make changes under this edition of the policy that broaden coverage without charge, this policy will automatically provide the broadened coverages as of the date we put them in place, provided that date is during the policy period. This provision does not apply when we issue a new edition of the policy.

CONCEALMENT OR FRAUD

1. To the extent permitted by Texas Insurance Code sections 705.003 and 705.004, this entire policy shall be void if, at the time the policy was obtained, the **insured**:
 - a. willfully concealed or misrepresented any material fact or circumstance;
 - b. intentionally made false statements; or
 - c. engaged in fraudulent conduct; concerning or relating to this insurance.
2. Coverage under this policy shall be void if, either before or after a loss, the **insured** has:
 - a. willfully concealed or misrepresented any material fact or circumstance;
 - b. intentionally made false statements; or
 - c. engaged in fraudulent conduct; concerning or relating to this insurance.

JOINT OBLIGATIONS OF INSURED

The terms of this policy impose joint obligations on all persons defined as persons **insured**. This means that the responsibilities, acts, and failures to act of any person defined as an **insured** will be binding upon any other person defined as an **insured**.

POLICY PERIOD

This policy applies only:

1. to loss under PART I;
2. to **bodily injury, property damage, or personal injury** under PART II;

which occurs during the policy period shown on the declarations page.

STATEMENTS IN THE APPLICATION FOR INSURANCE

By accepting this policy, you agree:

1. The facts stated in the application for insurance and shown on the declarations page are correct and accurate. We have relied on the truth of your statements to issue this policy.

Any misrepresentations, omissions, concealment of facts, and incorrect statements in your application may prevent recovery under the policy if they:

- a. are made with actual intent to deceive; or
- b. materially affected either the acceptance of the risk or the hazard assumed by the insurer.

2. This policy contains all of the agreements between you and us.
3. Except as specifically provided in provision 4. below, you or someone on your behalf, will notify us promptly of any change to the facts affecting this insurance including, but not limited to, any change of the location of, the title to, the use of, or the exposure to the **residence premises**.
4. You must notify us within 30 calendar days before completion of:
 - a. the remodeling of or any addition to the dwelling covered under COVERAGE A; or
 - b. the construction of new buildings or remodeling of or addition to existing buildings covered under COVERAGE B;

that will increase the cost to replace the buildings covered under COVERAGE A and COVERAGE B by \$15,000 or more.

SUBROGATION

When we have paid, any rights of recovery from someone else become ours up to the amount we have paid. Any **insured** must:

1. protect these rights;
2. help us enforce them; and
3. execute all required papers.

If we recover damages through subrogation, we will pay you the amount recovered not to exceed the applicable deductible.

You may waive all rights of recovery against any person or organization. This waiver must be executed in writing before a loss occurs.

Subrogation does not apply to COVERAGE E, or to coverage under provision 2. DAMAGE TO PROPERTY OF OTHERS of ADDITIONAL PAYMENTS – PART II.

TERMINATION

1. Cancellation
 - a. You may cancel this policy at any time by notifying us of the date cancellation is to take effect. We will send you any refund due when the policy is returned to us.
 - b. If this policy has been in effect for less than 60 days and it is not a renewal policy, we may cancel this policy if:



- (1) we identify a condition that:
 - (a) creates an increased risk of hazard;
 - (b) was not disclosed in the application for insurance coverage; and
 - (c) is not the subject of a prior claim; or
- (2) before the effective date of the policy, we have not accepted a copy of a required inspection report that:
 - (a) was completed by an inspector licensed by the Texas Real Estate Commission or who is otherwise authorized to perform inspections; and
 - (b) is dated not earlier than the 90th day before the effective date of the policy.

An inspection report is deemed accepted, unless we reject it before the 11th day after the date we receive it.

- c. We may cancel this policy at any time for any of the following reasons:
 - (1) you do not pay the premium or any portion of the premium when due.
 - (2) the Department of Insurance determines that continuation of the policy would violate the Texas Insurance Code or any other laws governing the business of insurance in this state.
 - (3) you submit a fraudulent claim.
 - (4) there is an increase in the hazard covered by this policy that is within your control and that would produce an increase in the premium rate of this policy.
- d. The effective date of cancellation cannot be before the 10th day after we mail the notice if we cancel for any of the reasons in c. or the 30th day after we mail notice if we cancel for any other reason. Our notice of cancellation must state the reason for cancellation.
- e. If we cancel, our notice to you will state that if the refund is not included with the notice, it will be returned within 15 **business days** after the effective date of the cancellation.
- f. We may not cancel this policy solely because you are an elected official.

2. Nonrenewal

- a. We may not refuse to renew this policy because of claims for losses resulting from natural causes.
- b. We may not refuse to renew this policy solely because you are an elected official.
- c. We may refuse to renew this policy if you have filed three or more claims under the policy in any three year period that do not result from natural causes.

If you have filed two claims in a period of less than three years, we may notify you in writing, that if you file a third claim during the three-year period, we may refuse to renew this policy by providing you proper notice of our refusal to renew as provided in d. below. If we do not notify you after the second claim, we may not refuse to renew this policy because of losses.

A claim does not include a claim that is filed but is not paid or payable under the policy.

- d. If we refuse to renew this policy, we must deliver to you, or mail to you at your mailing address shown on the declarations page and any mortgagee named on the declarations page, written notice of our refusal to renew not later than the 60th day before the date on which this policy expires. Proof of mailing will be sufficient proof of notice. If we fail to give you proper notice of our decision not to renew, you may require us to renew the policy.

3. Premium Refund

When this policy is cancelled, a premium refund may be due you. If so, we will mail you the refund. We will make any refund you are due not later than the 15th **business day** after the effective date of cancellation. The termination will be effective even if the refund is not made immediately. Making or offering to make the refund is not a condition of cancellation.

At any time this policy is cancelled by us or by you for any reason, cancellation will be prorated, meaning the premium due to us will be a proportionate share of the annual premium.

TRANSFER OR ASSIGNMENT

1. This policy or any interests in it may not be assigned without our written consent.
2. In case of your death:
 - a. The deceased's interest in this policy will be transferred to the legal representative of the deceased, but only with respect to the premises and property of the deceased covered under this policy at the time of the death.
 - b. The following persons will be insured under the policy:
 - (1) any member of the deceased's household who is an **insured** at the time of the death, but only while a resident of the **residence premises**;
 - (2) with respect to the property of the deceased that is insured under this policy, the person having proper temporary custody of the property until appointment and qualification of a legal representative.

Coverage under this provision will only be provided until the end of the policy period during which the death occurred. However, if the death occurred after we offered to renew this policy, we will continue coverage until the end of the policy period for which we offered renewal, contingent upon payment of the premium.

YOUR PREMIUM

You agree to pay:

1. the premium stated on the declarations page for the policy period; and
 2. any additional premium resulting during the policy period from:
 - a. the correction or completion of;
 - b. any changes to;any information on file that affects the premium for this insurance.
- If a. or b. above results in a premium decrease during the policy period, any refund due will be:
- a. mailed to you if your premium is paid in full; or
 - b. applied to your outstanding balance.

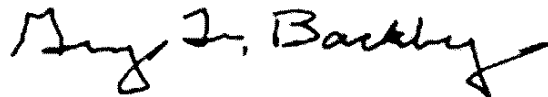
In Witness Whereof, we have caused this policy to be executed and attested, and, if required by state law, this policy shall not be valid unless countersigned by our authorized representative.

By



CORPORATE SECRETARY

By



PRESIDENT AND CHIEF EXECUTIVE OFFICER